

Fuqua Consulting Club

Interview Preparation Guide

2005-2006



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Industry Overview

Consultants provide a wide range of services to businesses. They identify managerial and institutional problems, perform in-depth quantitative and qualitative analyses, recommend and develop solutions, and assist in implementation. Time-constrained senior management in several companies often relies on consultants to bring an unbiased outside perspectives to problem solving. Consultants are thus expected to bring many resources to the table, including unique industry-specific knowledge and experience.

Recent economic developments and corporate trends have increased the number of consulting firms. The expansion of the internet and emergence of new technologies added to the groundswell. Lately, however, due to the economy, hiring has leveled off and firms are undergoing some consolidation.

Major players and types of Consulting

The industry began with the founding of Arthur D. Little in 1886. Today's roster of prominent firms includes McKinsey & Company, Bain & Company, Booz Allen Hamilton, The Boston Consulting Group, Deloitte Consulting etc. Many firms specialize in one industry or function but the entire spectrum of services, mapped over a wide range of industries and specializations results in a variety that does not lend itself to easy classification. However, we can broadly classify the services offered by a firm as either strategy or implementation consulting.

Strategy consulting is often a purely information based activity, yielding a series of blueprints outlining strategic idea paths and possible outcomes at the end of each path.

Implementation consulting projects require more hands on involvement of the consultants on projects that culminate in the delivery of a new production system or rollout of new software offering advanced functionality.

Clients are increasingly adopting a trend to hire a single consulting partner for all required services, which in turn has led to attempts by various firms operating at the ends of the service spectrum to expand towards the center. Therefore we find firms that have typically provided strategy consulting, move towards developing implementation competence while those with implementation oriented services have developed strategy practices in order to develop macro level ideas.

Why Consulting?

All forms of consulting contribute significantly to the value chain in a given industry, and offer consultants an opportunity to assume a high degree of responsibility at an early stage in their career, develop a broad perspective of industries and players, work with multiple levels of client organizations, interact with motivated and intelligent thinkers and enjoy the excitement of frequent travel.

Increasing globalization of consulting firms provides access to global informational resources, spanning different geographical locations. This provides an unparalleled opportunity to gain exposure to business worldwide.

Getting Hired

Consulting revenues have increased over the last several years, but the recent geopolitical turbulence and economic swings have caused a good deal of belt-tightening. While historically 30-40 % of MBAs entered this field, current trends have caused this number to settle between 10-20%. Most major consulting firms are still active in on- and off-campus recruiting initiatives. They usually host special presentations on campuses to inform and educate MBA students about their unique missions and cultures.

Hours and Compensation

Consultants' hours generally aren't nearly as grueling as those of investment bankers. About 60 hours per week is the norm, although some say they only work 45 to 50. Crunch periods can be more intense, with teams working 75-80 hours a week. These periods don't usually last for more than a week or two. Whether you are an associate or a partner, you can expect the same general schedule. "Hours are pretty similar for all consultants, regardless of rank and position," says one insider.

Just out of business school, you can expect to make anywhere between \$75,000 and \$140,000. Packages may include benefits and bonuses and some offer additional perks.

Travel

Most consultants travel three to four days a week. The typical schedule is Monday to Thursday on the client site and Friday in the home office. Of course, this can vary from project to project and firm to firm. Sometimes you will be lucky enough to have a client in your home city or nearby. A few consultants only have to travel one to two days a week or 25-30% of the time- but they seem to be the exception.

Office Culture

Collegial, friendly and close knit are terms that come up often in discussions of the atmosphere in this industry. Team bonding is an important part of most projects. There are many happy hours and team dinners, especially when working out of town. Though a couple of conservative companies still cling to dark suits and ties, many consulting firms these days are business casual. An important caveat: the consulting culture varies not firm to firm, but also from project to project and partner to partner within the firm.

People and Diversity

The overall consensus from the consulting crew is that they love the people they work with. The concept of work-fun balance surfaces again and again. In some areas, like strategy, almost everyone has an MBA. Other sectors are more academically diverse. Many of the large consulting firms are more international. Smaller or start-up firms are the most diverse in the industry. There are also more women in this industry than in banking or finance.



Consulting at Fuqua

Several top consulting firms have and continue to hire Fuqua students. The consulting club at Fuqua supports the efforts of students to pursue a career in this field. The club develops and nurtures relationships with the premier consulting firms in the industry and organizes interactive forums such as symposiums, career fairs and informational sessions to enable students contact industry representatives and develop a deeper understanding of the profession. It also assists students in developing skills in case and behavioral interviewing through coaching and mock interviewing. The club also organizes the participation of the school in various case competitions.

Preparing for a consulting behavioral interview is very similar to preparing for a behavioral interview in another function. The preparation simply needs to focus on the attributes a consulting firm seeks and the specific questions that consulting firms tend to ask. We have included in this casebook an overview of the behavioral interview process, the behavioral qualities that consulting firms generally seek, and specific questions that consulting firms may ask. In addition, we have included some thoughts on demonstrating positive consulting attributes through the case interview.

Many more resources can be found through the CMC and on the Career Compass website.



BEHAVIOR INTERVIEW

KEY EVALUATION CRITERIA

All firms have slightly different evaluation criteria, but most consultancies focus on finding the same core attributes in candidates: client presence, problem solving/ analytical skills, communication skills, leadership, initiative/ tenacity, and energy/passion. General definitions for each of these attributes are below.

CLIENT PRESENCE	PROBLEM SOLVING/ ANALYTICAL SKILLS	COMMUNICATION SKILLS
• Positive first impression • Generates credibility • Maintains posture and controls emotional attitudes • Uses appropriate phrasing and timing • Able to prevent conflicts-recognizes sensitive issues & individual resistance	• Understands overall business problem • Goes beyond the obvious, looks for insight • Prioritizes analyses through hypothesis building • Performs rigorous and thoughtful analysis • Identifies key issues • Is resourceful and tenacious in approaching problems	• Able to convey ideas in a convincing way • Listens actively • Expresses himself/herself well • Understands quickly even if issues are not clearly stated • Good eye contact, vocal qualities, gestures and movements
LEADERSHIP	INITIATIVE/ TENACITY	ENERGY/ PASSION
• Shows ability to convince • Able to suggest own initiatives • Charisma	• Determined to find solution • Empathy for problem solving in approaching problems	• Active/enthusiastic • Ready to give the extra 10%

Each firm also has specific attributes they seek and varied weightings or priorities for each of the criteria. In addition to preparing for the general criteria, identify firm specific criteria through their SIP, website, or other research materials. Ensure that you are prepared to explain what separates the company you are interviewing with and make sure your behavioral answers highlight how you are a match for those criteria.

BEHAVIORAL INTERVIEW

COMMON QUESTIONS

All consulting firms ask behavioral questions at some point in their interview process. Some firms include several behavioral questions as a part of each case interview; other firms conduct separate interviews to ask behavioral questions. Behavioral questions are typically very straightforward but they still require preparation. Answers to these questions will not get you the job, but they can lose it for you.

The following questions are typical questions given by consulting firms. The questions in bold were asked during internship interviews last year. For additional questions, check the CMC resources and the behavioral questions published on Career Compass.

General

- Tell me about yourself.
- Why do you want to be a consultant?
- What has been your biggest challenge?
- What have been your biggest success/ failure?
- Where do you see yourself in five/ten/twenty years?
- Tell me something about yourself that is not on your resume.
- What questions do you have for me?

Work Experience

- Tell me about working at [previous employer]?
- Why did you pick [previous career/employer]?
- Would you change your decision now?
- What was the best/worst part about working for [previous employer]?
- What specific duty did you like best/least at [previous employer]?

Academic Experience

- Why did you return to business school? Why Fuqua?
- Are you satisfied with your experience at Fuqua?
- What activity outside class has been most rewarding?
- What has been your best/worst class at Fuqua and why?
- Tell me about [activity/achievements on resume].
- Where have you demonstrated leadership at Fuqua?

BEHAVIORAL INTERVIEW

COMMON QUESTIONS

Consulting Fit

- What qualities do you have that would make you a good consultant?
- What do you think makes a good consultant? Please rate yourself on each of these qualities and give supporting examples.
- Give me an example of a time you have demonstrated [leadership, communication, analytical thinking, problem solving, initiative, teamwork].
- Tell me about a situation when you had to handle criticism/complaint from a client/customer. What was the circumstance and how did you handle it? What feedback did you receive? What was the result?
- Describe a recent example when it was important for you to establish rapport quickly. What were the circumstances? What challenges, if any, did you face? How did you deal with them and what were the results?
- Describe an occasion when you took responsibility for making a key decision. What was the circumstance and what was the decision? How comfortable were you with making the decision and why? How did you implement the decision and what were the results?
- Tell me about a time when you had to manage multiple priorities. How did you deal with conflicting demands? What approaches did you use? What were the results?
- Tell me about a situation where you had to work closely with other people to get things done, and you had to influence their actions without having formal authority over them. How did you influence the group? To what extent were you effective? Explain.
- Describe the most difficult analytical problem you have ever had to solve.
- What qualities do you think a leader needs?
- What would make you a good manager?

Why Consulting Firm X

- Why do you want to work for this firm? And this office in particular?
- Who else are you interviewing with and why?
- Where is this firm on your list of priorities?
- What do you think the key differences are between Consulting Firm X and other firms?
- What do you think you can offer us?
- What are your strengths/weaknesses?

BEHAVIORAL INTERVIEW

DURING THE CASE

Many consulting firms will not perform a “traditional” behavioral interview as part of their initial recruiting efforts. Instead these firms will focus on the case interview as a means to evaluate candidates. Candidates often overlook the behavioral components of the case interview. It is essential that candidates recognize that the case interview is also inherently a behavioral interview as well. Some people focus so much on “cracking the case” that they forget how many other skills are being assessed at the same time. In simple terms, they are evaluating your ability to work with a client and your consulting team to help them solve a problem.

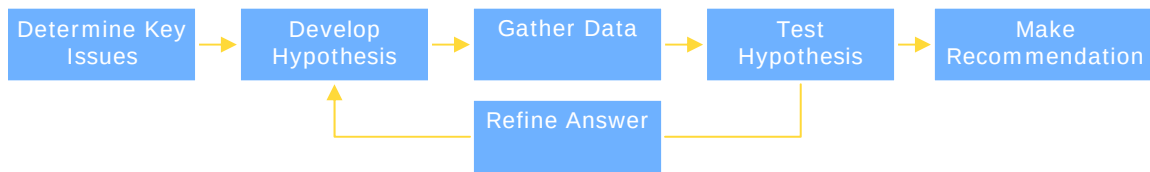
Think about showing the same attributes you want to demonstrate through answering behavioral questions. Following are some specific tips about what to do and what not to do during the case interview.

What to do...

- Walk in and exit with confidence and ease
- Smile, especially in the greeting, small talk, and start of the case
- Be prepared with some small talk
- Be energetic but relaxed throughout
- Look like you are having fun
- Show passion about consulting
- Actively listen and engage with questions
- Be perceptive to clues about mistakes or bad directions
- Demonstrate your presentation skills by showcasing your framework
- Take time to answer questions – a little silence is fine
- Talk out loud so your interviewer can understand your thought process
- Be flexible to changing gears in the middle of the interview
- State your conclusion first, then back it up with reasons (rather than walking through all the logic first and then stating the conclusion)
- Bring great questions, and tailor them to your interviewer if possible
- Show interest in the case after it is complete
- Express interest in the position and thank the interviewer for the interview

What not to do ...

- Mix up which consulting firm is which
- Forget the name of someone you interviewed with prior
- Be arrogant, cocky, insecure or unsure
- Be disorganized before or during the interview
- Forget the question you are answering
- Get obsessed with taking notes or not take notes at all
- Lose composure when you make a mistake
- Admit you have no idea how to proceed
- Talk too long when answering a question or summarizing your recommendation
- Give up before it is over – you never know how you compared to other candidates
- Ask your interviewer how you performed at the end of the case



1. As interviewer describes the situation, think about what the key issues facing the general management are
 - a) Restate the question in a way to add value
 - b) Ask clarifying questions
2. Create a framework and develop an early hypothesis
 - a) Ask for a moment (<~1 minutes) to create framework
 - b) Determine the key issues
 - c) Use structure and logic
3. Prioritize data needs
 - a) What do you need to better understand the issues?
 - b) Listen to the facts
 - c) Use facts and numbers appropriate in building an argument
4. Test hypothesis
 - a) Evaluate which facts are critical to key issues
5. Refine answer
 - a) Probe for more detail in critical areas
6. Make recommendation
 - a) Summarize options before making recommendations
 - b) State pros and cons – be fact driven
 - c) Be decisive

Contrary to what many perspective applicants think, the case interview is not just a tool that consulting firms utilize to limit applications. The case interview creates a situation that models many elements of a typical engagement and, as a result, is highly indicative of actual consulting performance. Usually a case interviewer presents a business situation that a consultant might find on a consulting engagement: working face-to-face with an unknown individual in a high stress atmosphere with ambiguous information and the expectation of reaching a conclusion.

The case interview is designed to not only test the problem solving skills possessed by the applicant, but also to observe interpersonal skills and probe the business acumen of the applicant. Having this goal in mind, interviewers design cases to be challenging and stretch the abilities of the interviewee. Hence, there is not a magic bullet or canned solution that must be used to “crack the case”. Whether or not a candidate achieves the “right” answer normally isn’t even the main criterion on which an applicant is being evaluated.

A good case interview response shows that the interviewee understood the main issues/problems in the case, made reasonable and necessary assumptions, and recommended a logical solution. In order to meet these criteria, a candidate should listen carefully during the case explanation and then repeat back the main issues/problems to the interviewer at the end of the case description. This ensures that the candidate’s thinking and response will be on topic. In addition, the candidate should utilize highly logical thinking when creating their solution. As this is one of the areas of evaluation, it is important for the applicant to explain their logic to the interviewer during the solution creation process. One or more frameworks can be a great tool(s) to structure a candidates thinking and to ensure that the approach will be sufficiently broad.

An excellent case interview response goes above and beyond the good response by considering future ramifications and long-term strategy points that the basic issues/problems and their solutions may create. When added onto a good solution, position sustainability and industry analysis are examples of additional recommendations that make an excellent case interview response.

Sample Case for Good and Excellent Answers:

Question:

Virgin Atlantic has recently spent \$20million to acquire the 5 year licenses to SpaceShipOne after its successful demonstration flights into space. This company plans to purchase 5 Space Ships from SpaceShipOne at a price of \$10million each. Using these spacecrafts, Virgin will offer commercial space travels into space, where anyone with the guts will be able to experience weightless and gaze back at the Earth from a height of more than 60 miles and with a beautiful view of the horizon 1200 miles away.

Initial indications state that Virgin will offer 3-hour travel aboard the spacecraft (which includes 4 minutes of time in space) at a price of \$150,000 per trip per passenger. Each spacecraft can hold 5 passengers and one pilot. NASA research has showed that 2% of Americans would happily pay more than \$100,000 for a trip into space. And SpaceShipOne has also indicated that any healthy individual should be able to ride on the spacecraft after completing a three hour training course.

Is space tourism a good business for Virgin to invest in?

Additional Information

- Virgin plans to launch its spacecrafts in Florida, Australia, Singapore and Britain. However, initially launches will only be available in the United States, since Virgin has not got the necessary export licenses to take the rocket out of US.
- Total cost for all the four launch sites will be \$ 2M.
- The Ground Operation costs will be \$ 10M/year.
- Maintenance for the five spacecrafts will be \$ 5M/year.
- Insurance costs for operations will be 25M/year.
- Pilots compensation will be \$ 20,000/flight.
- Each flight will need \$ 100,000 for fuel.

Approach 1 (Good Answer):

Find out whether Virgin could make money in this business.

- Check every aspects of the company's potential cost structure for the business.
We get the sum of
 - o Sunk Costs: \$20M (Licenses) + \$50(Space Ships) + \$20M (Launch sites) = \$90M.
 - o Fixed Costs (per year): \$10M (Ground Operations) + \$5M (Maintenance) + \$25M (Insurance) = \$40M.
 - o Variable Costs (each flight): \$ 100,000 (Fuel) + \$ 20,000(Pilots) = \$120,000.
- From the capacity and price per flight: 5 passengers and \$150,000 each, we could get the breakeven number of flights for fixed cost: $40 / [(\$0.15M \times 5) - (\$0.12)]$
- = 64. This means that for the first year, if each spacecraft could have 13 launches for 65 passengers, Virgin will break even in this business.

- From the NASA research, we could get the approximately Market Size: 300M (total American Population) $\times$ 2% = 60,000. Then we get the total potential Market Revenue: \$9B

Solution 1: Taking consideration of the big potential market and less competitive environment in the initial years, Space Tourism business will be a good investment for Virgin.

Note: If you could finish the above calculations and analysis through the interview process, Congratulations, you are now a good interviewee. However, if you want to be an excellent one, you should still think further about the business (see approach 2).

Approach 2 (Excellent Answer):

Basing on what you have had in Approach 1, utilize **5 Forces** to check the EXTERNAL aspects, and **VRIN** to have a deep and comprehensive INTERNAL analysis.

Questions you should also ask during the interview could be like:

- *Is Space Tourism a good business?* (punch up 5 forces)
 - How much demand will there be? At what price?
 - How easy is it for competitors to enter?
 - Will customers bargain down prices? Is this an industry where reputation matters? If so, what are the key elements of reputation that will matter and why?
 - Will firms compete aggressively once they enter. (e.g. will China, Russia, and others use this not as a source of profits based on full costs but just to subsidize space research? If so, what will happen to firms that are trying to make money?)
 - Will environmental regulation get in the way?
- *Who is going to profit most from space tourism?* (add to supplier part of 5 forces list things like reputation, patents, etc.)
 - Who are the suppliers of the technology? Early entrants?
- *Will Virgin thrive in this business? Why?* (capabilities list, resources list)
 - Does it have the right skills / capabilities?
 - Does it have other complementary resources it can leverage or that will benefit from a position in space tourism?
 - Will this be too much for Virgin to manager? Is it getting stretched too thin?
- *If not Virgin, who will do well? Why?*

Note: Points here in Approach 2 are that, you should not only refer to this kind of excellent approach during the interview to give the interviewers good impression on your terrific ability to analyze, but also be familiar with it and utilize it in your future career.

CASE INTERVIEW PROCESS

KEY EVALUATION CRITERIA

STRUCTURED APPROACH	STRONG ANALYSIS	REASONING & LOGIC
• Understand the question being asked • Develop an approach to answer the question • Always draw final conclusion relating discussion to initial problem	• Framing/organizing the problem • Prioritization of issues • Identifying relevant information • Synthesizing and filtering data provided by the interviewer • Comfort with numbers and ability to make reasonable assumptions • Drawing conclusions from facts • Identifying key implications and next steps	• Identifying and prioritizing key issues as they arise • “Sanity check” – Does the answer make sense? • Ability to use the original approach and logic to sort out a problem
SUCCESS-ORIENTED BEHAVIOR	PRESENCE / COMMUNICATION	PROFESSIONALISM & ENGAGEMENT
• Tolerance for ambiguity • Toughness/resilience • Initiative/motivation	• Listening skills • Oral skills/articulation • Charisma/spark • Credibility/maturity	• Enthusiasm and interest in the question • General understanding of the firm and consulting • Mature and confident demeanor

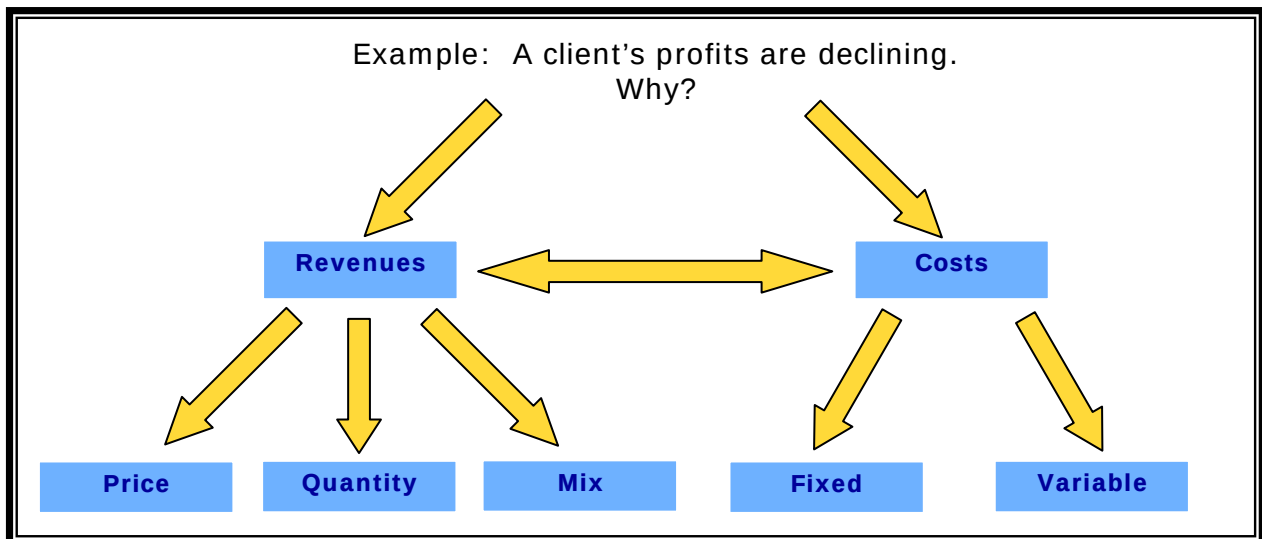
The following four frameworks provide a fairly comprehensive set of tools for a successful case interview. The case book suggestion is to learn these four frameworks thoroughly so that during the interview it is easy to recall and utilize a framework and valuable time is not wasted deciding which framework to use. Remember that a specific framework is not needed to “crack the case”.

Key Frameworks In Case Interview

- 3 C’s
- 4 P’s
- Porter’s 5 Forces
- Resource based Model (V R I N) – Valuable Rare, Inimitable, Non-substitutable

To crack the case you must first separate the problem horizontally and then drill down vertically:

The key is to make this pass “**MECE**” or “**M**utually **E**xclusive and **C**ollectively **E**xhaustive”



Note:

“Do not force a case into a particular framework and be prepared to use multiple elements of different frameworks” from Bain & Co.

- A knowledge of the following frameworks can be critical to conducting a successful case interview. These tools help to structure a candidate's thinking logically and ensure that multiple angles are studied.
- The interviewer is not looking for a cookie cutter approach to solving problems. During the interview a candidate should be sure to incorporate their own intelligence and creativity.
- A single framework is often inadequate to identify all of the issues present in a case. It is therefore recommended that candidates look at more than one framework and combine the positive elements of each approach into the recommendation.
- Interviewers generally are not impressed when candidates explicitly state the framework or frameworks that are being utilized. Moreover, this approach demonstrates a lack of creativity on the part of the candidate.
- “Students should note that (a) they are panning for gold and are not on a treasure hunt - most interviews are chances to make good points not find a single hidden right answer and (b) any tool (compass, map, knowledge of geology...) will be helpful in finding gold in any terrain but only if that tool is understood well enough to apply. I hope this (overwrought?) imagery will help students to be relaxed and confident going into and during their interviews and that it will encourage them to study a few frameworks deeply rather than trying to know a little about many frameworks.” Scott Rockart, Assistant Professor, Fuqua School of Business

While, the order of listing of the frameworks in this case book is not of any particular significance the 3C's can be viewed as the most rudimentary of frameworks. When first examining any basic situation that a firm may find itself in, it provides a structure that is extremely useful to focus your initial thoughts on what needs the organization is trying to fulfill, which group has those needs, who else can fulfill the same needs, and how is the company placed with respect to others in fulfilling these needs. Thus the 3C's framework provides a basic approach to viewing the strengths and weaknesses of a company with respect to its customers, competitors, and internal company attributes. In addition, this framework also provides a means to identify the opportunities and threats a company faces in its current industry position.

In general the customer section should help to identify the fit of a company's product offerings. The key elements of the Customer section are understanding the customer and the needs this customer wants to be filled. Once these elements have been identified, more interesting questions about adapting products to meet customer needs and segmenting customers to more aptly target marketing efforts develop.

The second C in the 3C framework represents **Competition** in the marketplace. This part of the framework should generally cover the substitute products (and their precise positioning) that might impede a company's ability to sell to its targeted customers. The competition analysis should cover more than the products that compete, it must also include the overall attributes of the firm producing the competing product. Competition analysis helps identify the companies in competition, rival products, and also how market actions will be received in the marketplace.

The final C stands for **Company** analysis. The insight that developed from this third part of the framework should generally identify strengths and weaknesses in a firm's capabilities and resources and highlight the overall priorities of the firm.

CUSTOMERS	COMPETITORS	COMPANY
- Who are they? - Demographics - Segmentation - Do they have unmet needs that we could serve? - The what, where, how, when, and why of the buying decision - Is there anyone else that we might be able to sell to (growth)? - Are there any services that they might find useful? - What is our share of customer market?	- Who are they, and what is the overall market like? - How well have they been doing? - How are they different from us in products, services, or costs? - Can new competitors easily enter the market? - Do we have to worry about substitute products? - Do they have deep pockets? - What will their response be if we pursue a certain course of action?	- Company's strengths & weaknesses - How do we compete (e.g. low cost vs. high end)? - How well can we keep new competitors from being a threat (e.g. pre-emptive actions, barriers)? - Supply chain issues - Financial and capital resources - Personnel / management issues - Given its capabilities, what can the company do?

Potential 4th C

COLLABORATORS

Buyer Selection:

- Purchasing potential
- Growth potential
- Structural position
- Cost of servicing

Supplier Strategy:

- Stability and competitiveness of the supplier pool
- Optimal degree of vertical integration
- Allocation of purchases among qualified suppliers
- Creation of maximum leverage with chosen suppliers.

When attempting to analyze a specific product or action plan for marketing of a firm to market that product, The 4P's offers a structured approach that highlights the key levers a firm can utilize when formulating and implementing its action plan. In this way the 4P's presents a means on which one can create/test potential solutions to issues that were crystalized in a 3C's analysis.

The first step in analyzing a specific corporate action plan is to identify the **Product** and understand its current positioning (real and perceived). By understanding the product's current position, the strategy implemented can be tailored for maximum impact. Additionally it is important to examine factors such as first-mover advantage and product adoption when analyzing any given action plan.

After analyzing the product, the next step is to consider how customers are made aware of the product and its benefits. **Promotion** specifies which customers are targeted and by what method. In certain circumstances it might make sense to implement a pull campaign and in others a push campaign. It is important that the overall promotional plan incorporate the analysis of all 4P's.

The third P is **Place**. When conducting analysis of the corporate action plan, it is crucial to understanding the choice of channels used to move product and channels move information. The place analysis should emphasize the value contributed to customers and the channel member's motives.

Once the product has been promoted properly and set in the appropriate market place, the firm must create profits from its sale. **Price** is the only P of the 4P's that captures value from consumers and determines firm profitability. Therefore is extremely important to the overall action plan. In addition to determining base prices, it is also important to account for channel costs and price sensitivities of the market and how these variations will influence the overall analysis.

PRICE

- What will price be?
- What are the competitors' prices for competing products?
- What discounts or other incentives will be offered?
- Will prices vary across geographic lines?
- How much do the target customers value the product?
- Will the product be priced at or below its perceived value?

PRODUCT

- Does the product have the right positioning in the marketplace?
 - Does it serve a particular segment of the market
 - Is it a mass market or niche market?
- What kind of brand equity does the product uphold?
 - What are some of the features that can be added to the product that would add to the value or the perception?
- What are the packaging issues?
 - Does the packaging reflect the positioning of the product?
 - How does the product fit in the overall strategy?

PLACE / DISTRIBUTION

- Which channels are the most closely aligned with the company's strategy?
- What functions does the company want to the channel to serve?
- Will it be more appropriate to go direct to the end-user or deliver the product through intermediaries?
- What are the economics of the channels?
- How much control is the company willing to give up on the delivery of the product?
- How would the company address any potential shifts in power to the channel?

PROMOTION

- What message is the company trying to communicate? What is the objective?
- What are some of the barriers to communicating the desired message?
- Does the promotion/branding focus on the long-term view of relationship building with the consumer?
- How is the marketing strategy different from the competition?
- Which vehicles will the company use to influence the decision making process?
- How much money is being allocated to marketing?

Porter's 5 forces is a framework to analyze and understand the intensity of competition within an industry and thus profit potential in an industry. This tool is useful when analyzing the competitive strategy of an organization and is especially helpful in situations like new market entry, mergers & acquisitions and the long-time viability of staying in an industry.

According to Porter, the intensity of the competition is determined by five key structural forces: (1) bargaining power of buyers, (2) power of suppliers, (3) threat of new market entrants, (4) intensity of rivalry among existing competitors, and (5) competition from substitute products.

Bargaining power of buyers: Buyers compete with the industry by exerting price pressure or by other means that will affect the profitability of the business (like a demand for better quality). The power of buyers is determined by factors like, size to the organization, differentiation within industry, switching costs for the buyer, and possibility of backward integration.

Bargaining power of suppliers: Suppliers can squeeze the profitability of an industry by increasing the prices or decreasing the quality of supplies. Power of supplier is much higher when the supply industry is dominated by a few players, industry is not an important customer for the supplier, supplier groups' products are differentiated and possibility of forward integration by the suppliers is higher.

Threat of Entry: New entrants bring more capacity to an industry and thus take away profits. The threat of entry depends on the barriers to entry that exist in the industry and the reactions of the existing players to a new entrant. Barrier to entry is determined by factors like economies of scale, capital requirement, access to distribution channels and the regulatory environment created by the government. The existing players in an industry might preempt a new entrant by strategies like entry deterrent prices.

Intensity of rivalry among existing players: Rivalry among players can take on forms like price competition, advertising battles, and increasing service or warranty levels that might erode profits. This intensity of rivalry is affected by the size and number of players in the industry, proportion of fixed costs, level of differentiation, and exit barriers.

Pressure from substitute products: Substitutes limit the profit potential in an industry by providing competing values to the customer. Identifying the substitutes is a matter of great significance as the substitutes can arise from a totally unrelated industry. Substitute products that pose a significant threat are those that have decreasing cost trends, or from industries that have the capacity to bankroll the costs involved.

The analysis of these five forces can help identify a defensible position for an organization within an industry in terms of positioning, exploiting shifts between forces, or identifying a new industry for diversification.

FRAMEWORKS

Porter's 5 Forces

POWER OF BUYERS	POWER OF SUPPLIERS	INDUSTRY RIVALRY
• How many buyers does the industry serve? • How many firms serve the buyers? • How “big” are buyers relative to industry? • How critical is your product/service to the buyer?	• How many suppliers serve the industry? • How many firms within the industry does a supplier serve? • How “big” are suppliers relative to industry? • Do the suppliers serve other industries? • How critical is the supplier's product/service to the industry?	• How does the industry compete? • Price • Product differentiation • Is the market expanding or contracting? • Is the industry concentrated? • Many small players • One big player and several small players, etc. • What are our company's strengths/ weaknesses relative to competitors?
THREAT OF SUBSTITUTES	THREAT OF ENTRY	
• What is your competitive advantage? • How easy can your product/service be imitated? • Industry standards? • Introduction of new technologies	• What barriers to entry are present? • What are the entry/exit costs • Have you reached minimum efficient scale? • Are there any large asset requirements • Is there any patents	

While the 3Cs, 4Ps and Porter's Five Forces will be familiar to most of us, none of these frameworks provide much insight into the question "why is this firm or that firm able to sustain higher performance than others *within its industry*?" To answer this question strategy research has developed the Resource Based View of strategy. The Resource Based View asserts that sustained differences in profits among firms in the same industry can be traced back to specific resources that only a few firms have. The "VRIN" model helps us to identify *which* resources are likely to lead to sustained profits. VRIN sets out four necessary and sufficient conditions (i.e., if you have all four you have something great, if you have less than all four you have nada) for a resource to lead to sustained profits.

Each of these four necessary and sufficient conditions provide one letter for the VRIN acronym. The first condition is that the resource be valuable (**V**). Clearly an inefficient production plant is not likely to be a valuable resource. It is not valuable because its costs leave little margin when compared to what people might possibly pay for the product. Even if the firm's production plant is efficient (and thus valuable) it won't lead to sustained profits if everyone else has an efficient plant as well. Competition would soon drive prices down to the production cost of an efficient plant and thus wipe out any profits. If the firm is going to get profits from the resource, then the resource must be rare (**R**). If, for example, only one or two companies have efficient plants they are far more likely to keep prices high.

What we really want is profits that are sustained over time. This means that resources must not only be valuable and rare, they must stay that way over time. If they are to stay rare, they must be hard to imitate (**I**mitatable). It must be difficult to build efficient plants or else efficient plants will become commonplace and any profits they provide today will be competed away. If they are to stay valuable, they must be hard to substitute (be **N**onsubstitutable) with other resources. For example, the value of an efficient plant is quickly lost in an industry where competitors can substitute cheap labor – perhaps by outsourcing manufacturing abroad – for the technologically advanced machinery and plant layout that currently make another company's production efficient.

The VRIN acronym doesn't really capture well one last consideration: to provide profits to the firm the resource must not be able to bargain up its own price. This is most clearly seen in cases of productive people rather than productive plants. An individual can demand higher pay if they are the source of a firm's profits and as long as they could produce similar profits somewhere else. That is, to be a source of profits the firm must either have control over the resource (e.g., own it) or be uniquely able to make the resource valuable so that it does not have to compete for the resource.

The VRIN model can be used to analyze both the single business strategy (at the business level we talk about resources and capabilities) and corporate strategy (at the corporate level we use the term core competencies). The logic is identical at both levels: in fact core competencies are really just resources or capabilities that help several distinct businesses within a corporation.

Valuable

- What resources are valuable to competitive advantage of the firm?
- Does the resource produce intrinsically different levels of efficiency?

Rare

- Is there an informational advantage in owning these resources?
- Produces a cost advantage that is not available to other firms

Inimitable

- What are the firm specific learning?
- How imitable is the resource?
 - If imitable patent protection not possible, so small entry lag
 - If inimitable, big entry lag, what other special resources can be built
- Are there casual ambiguities that prevent would-be imitators?
- Mobility barriers that create prohibitive switching costs & entry barriers.
- The nature and process by which the resource is attained
- Non-tradable assets developed within firms

Non-substitutable

- Immobile of Imperfectly mobile resources.
- Co-specialized assets that have high value when employed together.
- Sharing the benefits between the organization and the 'owner' of the resource (like human resources).

ADDITIONAL FRAMEWORKS

The following frameworks are also useful during the case interview. They can be viewed as applications of the four key frameworks.

Additional Frameworks

- Profit Equation
- New Market Entry
- Merger & Acquisition
- Market Estimation
- Value Chain

ADDITIONAL FRAMEWORKS

Profit Equation

PROFIT	REVENUE	COSTS
- Are profits increasing or decreasing? - If profits are changing, is it a change in revenues, costs, or both? - Any information on profit margins? - How have profits been compared to the rest of the industry? - Competitive threats? - Short-term vs. long-term actions to increase profitability?	Quantity - What are they selling? - Products/Product Portfolio - Related Services - Are sales up or down? Why? - New markets? - Geography - Unserved Customers - New Products/Services - Are they gaining or losing customers? - Why do customers buy? Price - Price trends? - How do prices compare to industry? - Is it possible to raise/lower prices? - Price sensitivity of customers? Mix - Selling more/less of higher margin products? - A shift from products (low margin) to services (high margin) is a frequent example - Shifting to different customer segments? - Shifting to geographic areas with higher/lower margins?	Fixed/Variable - Fixed Costs - Property - Plant/Equipment - Unusual Charges? - Variable Costs - Wages - Materials - Inventory - Overhead - Shipping/Transport - Sales force OR Inputs/Outputs - Raw Materials / Procurement - Prices - Quantities - Efficiency of use - Production - Process - Labor - Distribution - Sales force - Channels - Transportation - Quality

**INDUSTRY
ATTRACTIVENESS**

- What is the TAM (total achievable market)?
- Identify the level of competition in the market
- What are the market dynamics...could use Porter's 5 Forces
- Is this industry growing, stagnant, or declining?

**REQUIRED
CAPABILITIES**

- What resources and capabilities are needed to succeed in this market?
- Does the client have these resources or capabilities?
- Can the client obtain these resources or capabilities?
How?
 - Partnership
 - Acquisition
 - Alliance

**MARKET
OPPORTUNITIES**

- What are the business economics?
 - Cost/benefit
 - Market share
 - etc.
- Are there any synergies or overlap issues with existing businesses?
- Likely response from competitors?

**ENTRY
MECHANISMS**

- Consider various methods of entry
 - JV
 - Direct investment
 - Acquisition
 - Carve out
 - Build organically

FRAMEWORKS

Merger & Acquisition

INDUSTRY FUNDAMENTALS	AUTOPSY OF TARGET VS. REST OF INDUSTRY	VALUE OF THE DEAL (SYNERGIES)
• Is this an attractive industry? • Should we continue to play in this market? • What are the relevant industry dynamics? ◦ How do companies compete? ◦ Who are the customers? ◦ Where's the growth, etc.? • How would competitors respond to an acquisition? • Any regulatory hurdles to overcome?	• Who are the target's customers? How do these customers perceive both the client and the target? • Analyze target performance... market share, profitability, product, etc. • What are the relevant strengths & weakness of the target?	• Synergies • Cost: SG&A, R&D, Mfg, etc. • Revenue: Enhanced product, improved distribution, robust customer solutions, cross-selling opportunities, new customer segments, etc. • "Softer" Synergies (Management capability, technology, etc). • Compare base line valuation + synergies to the purchase price
CULTURAL ISSUES	ALTERNATIVES	
• Clash of company cultures, or a good fit	• Discuss alternatives ◦ Outsourcing ◦ JV ◦ Corporate restructuring ◦ Carve out ◦ Etc.	

FRAMEWORKS

Market Estimation

Estimations, often embedded within a case, can be approached in multiple ways.

Example: *If Wal-Mart installed kiosks to print digital photos, how many prints could they sell per year?*

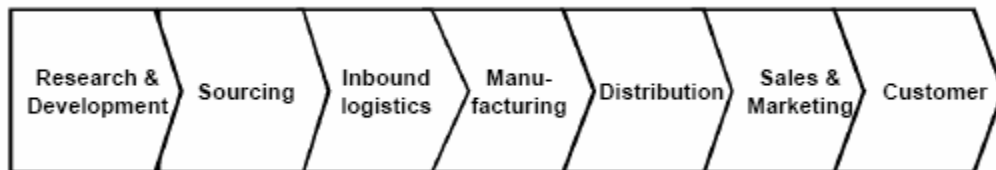
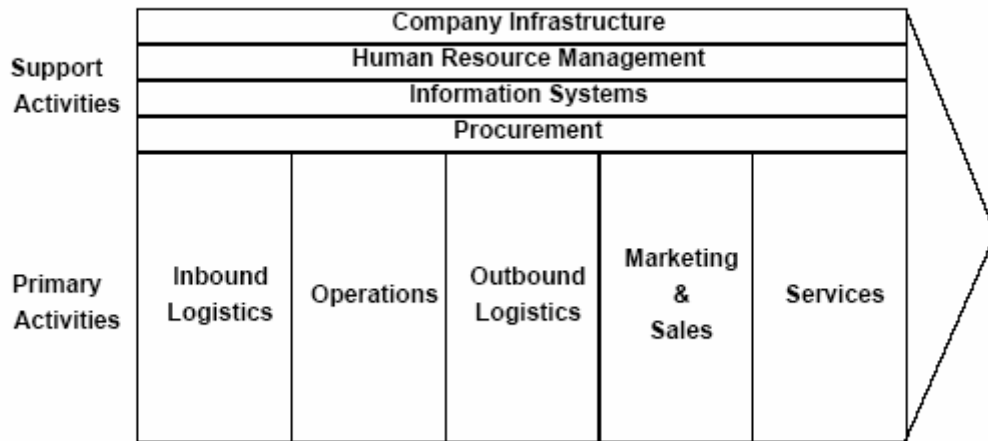
TOP DOWN

- 250-300M people in US
- Uniform distribution
- Average lifespan = 80yrs
- Age range of digital camera owner is 20-60 ~150M people
- 150M people are ages 20-60
- 10% own digital cameras = 15M people
- 10% are Wal-Mart customers = 1.5M people
- 20% will use photo finishing kiosk = 300K people
- Average person prints 50 prints per year = 15M prints/year

BOTTOM UP

- How many customers does a Wal-Mart have?
- 2000 customers per day
- How many own digital cameras?
- 10% = 200
- How many would use a kiosk?
- 10% = 20
- What % of their visits would be for prints?
- 10% = 2 kiosk customers/day
- How many prints would each person make?
- 10 -> 20 prints/day/store
- What does this mean on a yearly basis?
- *400 days/yr = 8K prints/year/store
- 1500 Wal-Mart's = 12M prints/year

Key Components of the Value Chain



ESTIMATION CASES

Golf Ball Market Entry

In estimation cases there is no one right answer. You make up the numbers as you go so try to simple to make your calculations easier. The Interviewer will expect you to think out loud, outline a general framework for how you are going to solve the problem and then come up with reasonable assumptions about the inputs that you need.

Question:

You are going to visit a client who sells golf balls in Japan. Having had no time for background research, you sit on the plane wondering what is the market size for golf balls in Japan and what drives demand. Your plane lands in fifteen minutes. How do you answer these questions?

Approach:

- Golf ball sales are driven by end-users.
- Population of Japan is 125 million.
- Proportion who play golf 1/5.
- Purchase Frequency: the average golfer plays 20 times/year and uses four balls per time.
- $125 * 1/5 * 20 * 4 = 2,000$. The estimated market size for golf balls in Japan is 2 billion.

ESTIMATION CASES

Diapers

Question:

You have been retained jointly by Pampers and a federal commission on waste management to estimate the volume percentage of disposable diapers in the total US household garbage.

Approach: $\text{Volume percentage} = \text{Diapers (volume)} / \text{US household garbage (volume)}$

Numerator

- Population of the United States: 250 million
- Proportion of population that are disposable diaper-wearing children: 10% = 25 Million
- Number of diapers used per day: 4 = 100 million diapers per day.
- Volume per diaper: 250 ml (or use another number in gallons/oz if you prefer)
- Volume thrown away per day = $250 * 100 \text{ million} = 25,000 \text{ million ml} = 25 \text{ million liters}$

Denominator

- Population of the United States: 250 million
- Average volume of household garbage can: 10 liters (or use gallons if preferred)
- Average number of emptied bags per day: 1 = 10 liters per day
- Total volume of garbage/day: $250 * 10 = 2,500 \text{ million}$

Ratio

- $25 \text{ million liters of diapers} / 2,500 \text{ million liters of garbage} = 1\%$

ESTIMATION CASES

Knitting Machine Demand

Question:

How would you assess the world demand for knitting machines?

Approach:

- Estimate demand for cloth in the world
- World Population: 5 billion
- For simplicity assume an average of 10 units (sq ft) of cloth/year for each member of the population
- Each knitting machine produces 1,000 units of cloth per year
- At any given time there are 5,000 million * 10 units/ 1,000 units of cloth/machine = 50 million knitting machines in the world
- Average useful life of a knitting machine: 5 years
- Each year 20% of knitting machines replaced
- Demand is 20% of 50 million = 10 million knitting machines

Furthermore, you may need to consider other factors:

- The existence of substitutes for knitting machines and the effect of this on expected demand

ESTIMATION CASES

Chewing Gum Market

Question:

How would you estimate the size of the annual U.S. chewing gum market? Check your answer for reasonableness.

Approach:

- Population of the US: 250 million
- 20% between the ages of 10-20 the heaviest users, total of 50 million
- Estimate that these people chew two packs per week, $2 \text{ packs/week} * 50 \text{ million} * 50 \text{ weeks} = 5,000 \text{ million packs}$.
- For the other users over age 20, (80% of 250 million population, or 200 million) estimate a usage rate of one half pack per week, $0.5 * 200 \text{ million} * 50 \text{ weeks} = 5,000 \text{ packs/week}$
- Adding the two figures, estimate the total chewing gum market to be 10,000 million packs per year.

To check for reasonableness, check the dollar sales that 10,000 million packs represent: at \$0.75 per pack, annual sales would be approximately $10,000 * .75 = \$7.5 \text{ billion}$, a reasonable figure.

ESTIMATION CASES

Piano Tuners

Question:

How many piano tuners are there in Chicago?

Approach: This is an estimation case - there is no right answer.

What is the number of households in the Chicago area? (Assume 2 million households.)
Break the income of the households into four quarters (500,000 each). Make an estimate of 20% of highest income quarter have pianos, 10% of second quarter. 5% of third, and 0% of fourth. Estimate how often these pianos are tuned. You can estimate top income quarter tunes their pianos once a year, second quarter once every five years, third quarter once every 10 years.

Income	Population	% w/ Pianos	# of Pianos	Times tuned/yr	Tuning/yr
1 st	500,000	20%	100,000	1	100,000
2 nd	500,000	10%	50,000	1/5	10,000
3 rd	500,000	5%	25,000	1/10	2,500
4 th	500,000	0%	0	0	0
Totals			175,000		112,500

Estimate a piano tuner can tune five pianos a day, 250 days a year, therefore: $112,500/250 = 450$ pianos a day to tune $450/5 = 90$ pianos tuners needed.

How could you check this? Look in the yellow pages. Would all the piano turners be in there? You can guess half. By the way there are 46 piano tuners listed in the Chicago Yellow pages.

ESTIMATION CASES

Publishing

Question:

Your client is the CEO of a publishing company producing a line of educational magazines and a line of women's magazines. Both businesses are profitable but not growing quickly. He wants to start a third monthly magazine in the US targeted at 30-50 year old men (e.g. GQ Magazine). His stated goal is \$10 million in circulation revenues in the first year. Is this possible?

Approach:

- The total US population is approximately 240 million.
- Based on a normal distribution with the average life span of 80 years, approximately 2/3 of the population falls between 30-50 or about 160 million people.
- Approximately 1/2 are male or 80 million.
- Of the 80 million 30-50 year old men in the country, assume that at least 1/2 would read a magazine or 40 million.
- Given the wide range of magazines on the market assume that only 10% of magazine readers would want to read a men's journal or 4 million target customers.
- As a new magazine assume that you can generate a 5% share of the men's magazine market in year one or 240,000 customers.
- Based on other magazines selling for \$2.50-\$5.00, assume a cover price of \$3/magazine at the news stand and \$2/magazine for a subscription.
- Now make some assumptions on how many customers will buy on the news stand versus subscription: assume 50% subscribe (120,000) and 50% buy at the news stand (120,000).

This comes out to monthly revenues of \$360,000 + \$240,000 or \$600,000. For simplicity assume that all target customers buy a magazine every month. This would generate total revenues of \$600,000 X 12 or \$7.2 million. In this case given the CEO's stated goal of \$10 million in circulation revenues, it would not make sense to launch the magazine.

ESTIMATION CASES

Cigar Bar

Question:

I was sitting in one of Chicago's new specialty "Cigar Bars" around the end of August with a friend. It was a Saturday night and the weather was fair. While enjoying one of the bar's finest stogies and sipping a cognac, I asked my friend how much he thought the bar was worth. On the back of an envelope, how would you go about determining the value of this bar?

Approach:

This is an estimation case but as you don't know much about the bar the interviewee should ask the interviewer for details. The value is the present value of future cash flow. To estimate cash flow, a "Revenue – Cost" framework is useful.

The following information can be given if asked for:

1. Product Mix and Pricing: The bar sells two things, liquor and cigars. The average cost of a cigar is \$8 and the average cost of a drink is \$7.
2. Capacity: We arrived at the bar around 8:30pm. There appeared to be 30 customers already there. By 11pm the place had at least 70 customers. I would estimate the maximum capacity to be close to 100.
3. Location: The bar is located on one of Chicago's trendier streets with a lot of foot traffic.
4. Hours: The bar is open Tuesday thru Sunday from 5 pm until 2 am.
5. Staff: There was one bartender, a waiter and a waitress. All three were there the entire evening.

This is a straightforward valuation. To perform a valuation you must estimate the cash flows from the business and discount them back using an appropriate weighted average cost of capital (WACC).

- Revenues: One way to project revenues is to estimate the number of customers per day or per week and multiply that by the average expenditure of each customer. Keep in mind that Fridays and Saturdays are typically busier than other days and that people tend to be out more during the Summer than in the Winter.
- Costs: There are two components to costs: fixed costs and variable costs. Under fixed costs you might consider: rent, general maintenance, management, insurance, liquor license, and possibly employees. The only real variable cost is the cost of goods sold.
- Valuation: Subtract the costs from the revenues and adjust for taxes. You now have the annual cash flows generated from the bar. How long do you anticipate this bar being around? Cigar bars are a trend. In any case pick some number for the expected life (4-5 years). The discount rate should be a rate representative of WACC's of similar businesses with the same risk. Perhaps 20%. This gives you a value of:

$$\text{Value} = CF_1/1.2 + CF_2/(1.2)^2 + \dots + CF_n/(1.2)^n$$

ESTIMATION CASES

Oil Tankers

Question:

Your rich uncle has just passed away and left you with 3 small oil tankers. How do you determine how much they are worth?

Approach:

This problem involves the interplay of supply and demand forces to determine the value of the tankers. The nature of tanker supply will be revealed by identifying different tanker types (small, medium, large) in the industry and cost-related prices associated with employing each type. A step function supply curve results for the industry with each step a different tanker type. Demand for the services of tankers should be fairly inelastic due to refinery economics dominating the purchase decision. It will turn out (by creating the supply/demand curves) that at the given level of demand, only large and medium tankers are put into supply. This renders your late uncle's small tankers worthless at the present time.

ESTIMATION CASES

Windmill

Question:

You produce a windmill with an accompanying electric generator (the generator harnesses the power produced by the windmill). This may cost you \$10,000 to manufacture. How much are your customers willing to pay for it?

Approach:

Porter's five forces dictate that industry rivalry/potential substitutes and supplier/buyer power need to be assessed.

- To narrow it down, assume competition, and a demand/supply level far beyond your capacity.
- We must examine other components: The \$10,000 cost is irrelevant; you have no idea what this product is worth to anyone.
- Assessing the value of the product's benefits is perhaps the next step.
- The closest substitute to the windmill is probably utility-produced electricity.
- Therefore, inquire how the electrical utilities measure and charge for the electricity they provide, convert the Windmill's output along these terms and assert a cost/benefit estimation of how much potential customers would be willing to pay for it.
- Other considerations upon which to discount the value might be reliability, maintenance, etc.

ESTIMATION CASES

Ice Cream Parlor

Question:

Your client is the owner of a small ice cream parlor and is interested in selling it off. You have been assigned to help him determine the value of his store.

Approach:

Several methods can be used to perform this valuation: use NPV method for this case.

This information should be given if asked for:

- Average number of cones sold: 5,000
- Average price of a cone: \$2
- Variable costs on per cone basis: Ice cream: 30cents, Cone: 10cents, Condiments: 10cents
- Fixed costs on per month basis: Rent: \$1200, Utilities: \$500, Labor: \$1000, Advertising: \$200, Contract services: \$200
- Gross income: \$4,400
- Tax rate 40%, therefore the taxes paid are \$1,760
- Net income \$2,640
- Depreciation: Ignore
- Growth rate over next 4 years: 10%
- Company's debt position: No debt
- Company's beta: 1.2
- Risk free interest rate: 6%
- Market rate: 11%
- Terminal value: ignore terminal value

Calculate expected cash flows over next four years: \$31,680, \$34,848, \$38,332, \$42,166

Calculate appropriate interest rate using CAPM = $0.06 + 1.2 \times (0.11 - 0.06) = 0.12$

Determine NPV by discounting projected cash flows using determined discount rate

Year	1	2	3	4
Net Monthly Income	\$ 2,640	\$ 2,904	\$ 3,194	\$ 3,514
Net Annual Income	\$ 31,680	\$ 34,848	\$ 38,333	\$ 42,166
Present value	\$ 28,286	\$ 27,781	\$ 27,285	\$ 26,797
Total NPV	\$ 110,148			

COMPANY ECONOMICS CASES

Meat Packing Industry

Question:

Your client, a US firm, owns a meat packing plant in Spain. Over the last few periods, profits have declined, despite the fact that sales are growing. You have been hired to figure out why.

Approach: Porter's five forces or Revenue-Cost

This information should be given if asked for:

- Local or regional market: fairly regional
- Any change in production costs: no
- Suppliers of raw material: numerous independent farmers with little negotiating power against your client
- Any recent change in the cost of raw materials: no
- Any change in transportation costs: no
- Any change in the competitive landscape: no
- Any new substitutes or change in dietary trends: no
- Any Change in price: yes, price has decreased. Customers have been merging and have increased negotiating power

Solution:

Profits are dropping because buyer power has increased as a result of recent merger activity. The customers are negotiating a lower price from us.

COMPANY ECONOMICS CASES

Magazine Distribution

Question:

A magazine publisher is trying to decide how many magazines she should deliver to each publisher individual distribution outlet in order to maximize profits. She has massive amounts of historical data for sales volumes through these outlets and a well-constructed internal accounting system. How should she go about computing an appropriate number?

Approach:

- To maximize profits, marginal revenues would be set equal to marginal costs.
- The marginal revenue for a magazine would be its cover price times the probability that it will be sold.
- The probability of sale, with an appropriate confidence interval, could be established in some manner from the historical data.
- The marginal costs could be obtained from the internal accounting data.

COMPANY ECONOMICS CASES

Direct Mail Retailer

Question:

You are consulting for a direct mail retailer that sells ladies clothing. Your client's catalog postage costs have just increased to thirty-two cents per catalog. How can your client decide if the new price is acceptable?

Approach: Revenues - Cost

This information should be given if asked for:

- Average response rate: 2%, i.e., 2 orders placed for each 100 catalogs mailed
- Average order size: \$80
- Percentage of customers who reorder within six months: 25%
- Profit margin on catalog orders: 15%, excluding mailing costs
- Revenues:
 - Each 100 catalogs will result in 2 orders, plus 2 x 25%, or .5 additional reorders, for a total of 2.5 orders placed per 100 catalogs mailed.
 - 2.5 orders will result in 2.5 x \$80, or \$200 in sales.
- Costs:
 - Postage costs: \$32 for each 100 catalogs mailed (100 x 32 cents).

Solution:

At a profit margin of fifteen percent, \$200 in sales will return a profit before postage of \$30. The \$30 profit is not sufficient to cover the mailing costs of \$32. Therefore, the client should reject the printing arrangement at 32 cents per copy

COMPANY ECONOMICS CASES

Airline Expansion

Question:

A major airline is considering acquiring an existing route from Tokyo to New York from another airline. The airline currently flies from Tokyo to LA and LA to New York. How can it determine if the route is a good idea?

Approach:

Profitability analysis is likely the best approach. Simply determine if revenue less costs equals a positive economic profit. They must determine if the new route will out earn its cost of capital. Then, analyze the factors that go into revenue and the factors that comprise cost to come to a conclusion. In addition, you may want to analyze the return on investment (ROI) of the additional route.

Revenues will be determined by occupancy rates and expected prices. Both of these will be determined by expected demand, the competitive environment and the extent to which the airline could win over passengers from competitors.

Operating costs will depend on fuel costs, incremental costs for landing rights, staff, equipment, additional marketing to advertise new route, etc. It is important to estimate the cannibalization cost for existing Tokyo-LA, LA-New York routes. Finally, note that losing passengers to cannibalization is better than losing them to competitors.

COMPANY ECONOMICS CASES

Beverage Company Cost Structure

Question:

RC Cola and Coca Cola both compete in the same industry. Their cost structures are vastly different, however. Using Coca Cola as a benchmark, estimate the likely cost structure for RC Cola. In other words, for which costs would RC Cola be higher, for which would they be lower, and why?

Approach:

This is a twist on the standard price/cost case that also questions the interviewee's understanding of the cost items. A possible analysis:

- Cost of goods sold: RC Cola's would be higher because they would have less negotiating power with suppliers.
- Distribution: would also be higher for RC Cola for two reasons. RC is not distributed in as many outlets as Coca Cola. Therefore, the average truck driver will be driving more miles and spending more time to deliver a truckload of RC than the Coca Cola driver, who will have several stops within an immediate area. Also, the typical order size for RC Cola would be smaller, meaning that more stops would have to be made.
- Sales Costs: might be lower for RC, as there are fewer, but more loyal customers.
- Marketing: lower for RC Cola as they are not a frequent advertiser like Coca Cola.
- Administration/overhead: lower for RC Cola, as they are more of a "one-product" company than is Coca Cola.

COMPANY ECONOMICS CASES

Fertilizer

Question:

You are hired by a fertilizer manufacturer to help them out of a difficult situation. Fertilizer is a commodity. Their market share and profits are in a decline and they can't figure out what is happening. What are you going to do?

Approach: Since fertilizer is a commodity, competition is on a cost basis. Compare your costs to those of the competition:

This information should be given if asked for:

- Major players: There are four major players in the market including your client.
- Client's cost structure compared to competitors: Client is the high-cost producer.
- Client's fixed costs compared to competitors: Same
- Variable costs: Labor and advertising are the same but client has a higher cost for phosphate, a key raw material
- Client's supplier network for phosphate: Client has one supplier of the raw material. All other suppliers are locked into contracts with the client's competitors.
- Potential for the client to renegotiate the contract with the supplier to reduce the material costs: Supplier's prices are based on volume purchased. Supplier knows that the client does not have another source for the key material.
- Potential for client to create economies of scale to reduce production costs: This looks like the best solution - to explore the possibility of competing on a scale basis.

COMPANY ECONOMICS CASES

Snack Food Company

Question:

A large salted snack food company has been steadily losing market share over that past two years, from a high of 20% to the current level of 18%. Profits as a percent of sales, however, have been growing. What could be causing this?

This information should be given if asked for:

- Change in salted snack food market size over 2 years: grown from \$15 billion to \$17 billion
- Change in client's total dollar sales: grown, but they have not kept pace with the market
- Change in client's product line: none
- Change in client's costs over the period (as % of selling price):

<u>Cost</u>	<u>Current</u>	<u>Two Years Ago</u>
Raw Ingredients	28%	26%
Conversion costs	24%	24%
Distribution	8%	9%
Marketing	16%	18%
Sales force	7%	9%
Pre-tax profit	17%	14%

- Reason for sales force cut: Sales force cut to reduce costs, but number of outlets unchanged.
- Cause of change in the marketing budget: The changes come from reduced trade promotions.
- Sales channels: Products primarily sold in large grocery store chains and convenience stores.
- Sales force/customer interaction: Sales force visits each customer at least once per quarter.
- Timing of promotions: Promotions usually occur at the end of each quarter.
- Impact of promotions; Promotions required for end of aisle displays and advertising space.
- Main competitors: Largest competitors are two multinational consumer products companies that feature complete lines of snack foods.
- Differentiation from competitors: Their sales forces are regarded as the best in the industry.
- Market share of competitors: Together, the two companies have 55% of the market.

Solution:

The data show a large decrease in sales force and marketing expenditure. Most of the marketing reduction was in trade promotions. Product is sold through grocery chains and convenience stores, which are traditionally driven by periodic trade promotions. The reduction in trade promotions brought about a loss of shelf space, which led to a decrease in market share. Also, the product line did not change in a product category where new products and line extensions are routine. The market has been growing, indicating a missed opportunity for new products in the market. Lastly, profitability increased due to lower costs, but it may not be sustainable.

COMPANY ECONOMICS CASES

Aluminum Can Manufacturer

Question:

An aluminum can manufacturer has discovered a way to improve its manufacturing process. As a result, its manufacturing cost has been reduced from \$0.89 to \$0.79 cents. How can the manufacturer best exploit this cost advantage?

Approach: The firm can either use a penetration strategy or price skimming strategy. Consider the impact of either strategy on the company and its competitors. Also, don't forget to think about any substitutes for aluminum cans.

This information should be given if asked for:

- Differentiation: Client's product is undifferentiated from the competition.
- Market share: Client is the leader in its market with a 40% share.
- Customers: Client supplies directly to major beverage manufacturers.
- Competitions: The number two player in the market has about 30% of the market and the rest is shared by many small competitors.
- Substitutes: Aluminum cans have lower priced substitutes, steel cans, which have inferior printing and stamping characteristics.
- Steel can users: Steel cans are used by customers who do not want to pay the premium for aluminum cans.
- Steel can competition: Numerous players, some with vast resources and a strong backing.

Solution:

The client should either drop price or reap additional profits. If the client drops prices, other competitors will have to follow since this is a commodity market and not following would mean a quick demise. The lowering of prices might increase the client's market share marginally, but some smaller competitors will have to start exiting the industry and larger competitors will have to start investing to discover the client's cost advantage. At the same time, steel can users will start switching to aluminum cans, thus hurting manufacturers in that market. The resulting growth in the aluminum can market will attract steel can manufacturers to enter it. Since some steel can manufacturers have deep pockets and a strong backing, these new entrants could pose a future threat to our client. In conclusion, it is best to retain prices and generate extra profits. The lower cost advantage may help another day during a price war.

COMPANY ECONOMICS CASES

Logging Company

Question:

You have been hired by a Canadian logging company to analyze its current operations and provide advice on future operations. The government regulates the logging industry in Canada. Land is leased to individual companies by the government. The company is making a lot of money and is unsure why. You have been asked to determine: why they are making money, whether it is sustainable, and whether it is replicable.

Approach: Explore each component of the profit equation.

This information should be given if asked for:

- Products: The company produces lumber boards of two sizes 2"x4" and 2"x8."
- Price: Lumber is a commodity product - the company is a price-taker in the market.
- Land lease cost compared to competitors: The government leases tracts of land at an annual price that is set to allow for a 12% profit margin for the entire logging industry. All tracts of land have the same lease price per acre.
- Lease length: Leases last 99 years and the original lessee has the right of first renewal.
- Profit structure: Profit equation for the lumber industry can be written as: Profit per ft³ = Revenue per ft³ – Non-land cost per ft³ - Lease Cost per ft³
- Product mix: Company produces a greater percentage of 2"x8" boards than the "typical" logging company.
- Revenue advantage: Margins are higher on 2"x8" boards than on 2"x4" boards, so company has a revenue advantage due to its product mix.
- Other costs vs. competitors: Company has 5% cost advantage in its "tree-to-dock" production process. There is no significant difference in distribution costs among the industry firms.
- Cost advantage in production: No significant economies of scale in the process. The cost advantage is due to the exceptional quality of the trees on the piece of land that the company leases, rather than a better logging process (i.e. better equipment, more skilled laborers).
- Cause of better trees: The mineral content of the land leads to faster growth of healthier trees, which improves both yield and turnover. Healthier trees are straighter and easier to cut, thus reducing costs in each phase of the logging process. These healthier, taller, straighter trees yield more 2"x8" board feet than is typical and leads to the advantaged product mix.

Solution:

The company leases land with significantly higher quality trees. This leads to a revenue advantage because more 2"x8" board feet can be produced per acre of land. Additionally, there is a cost advantage because the higher quality inputs make the logging process easier and increase yields and turnover. Since leases are 99-year renewable, the current situation seems sustainable. It is unlikely that another piece of land similar to this one can be found or that another firm will give up advantaged land, so the situation is not repairable.

COMPANY ECONOMICS CASES

Cable Television Company

Question:

Your client is a small holding company that owns three cable television companies in the Northeast: Rochester, NY, Philadelphia, PA and Stamford, CT. Each of these three companies is profitable, and has been experiencing steadily growing sales over the past few years. Management feels that the Northeast is not the fastest growing area of the country, however. The firm therefore acquired another cable television company in Tucson, Arizona a little over a year ago. Despite every effort of management, the Tucson Company's sales have been stagnant, and the company has been losing money. How would you analyze this situation, and what could be the cause of the poor performance of the Tucson cable company?

Approach: Explore: the market situation and contrast the operating environment in the Northeast to that in the Southwest to find the solution.

This information should be given if asked for:

- Relative market sizes: The Tucson area is smaller than Philadelphia, but larger than Rochester and Stamford.
- Market growth rate: Tucson is growing at 12% per year on average. Philadelphia, Rochester and Stamford are growing at 10%.
- Per capita income: Per capita income is higher in Tucson than in Philadelphia and the same in Rochester and in Stamford.
- Operating costs of Tucson compared to the other markets: Essentially the same.
- Fixed costs: Linked to the cost of the cable lines, which are a function of physical area. Due to the larger service area, Tucson has higher fixed costs.
- Variable costs: Variable costs are sales staff, maintenance, administration and marketing.
- Only maintenance cost is higher than the other markets, due to the larger land area serviced.
- Cost of programming: Based on number of subscribers and is equal across the nation.
- Marketing Programs: The Tucson Company has attempted marketing efforts in the past, such as free Disney programming for one month, free HBO for one month, free hookup, etc.
- These programs have been modeled after the other three markets.
- Relative cable penetration rates: Cable penetration rates in the three Northeastern markets average 45%. The penetration rate in Tucson is 20%.
- Change in penetration rates; Penetration rates have been steady over the past three years in the Northeast. The penetration rate in Tucson has risen by 2% in the past three years.
- Substitutes: Satellite dishes are the only real substitute for cable television. However, many communities in Tucson are enacting legislation that limits satellite dish use. They are also prohibitively expensive for most people.
- Television reception: Reception is far better in the desert Southwest than in the Northeast.

Solution:

The market environment is different in Tucson due to better reception (availability of substitutes) leading to lower cable penetration rates and higher operating costs for the cable provider. Further recommendations would be to examine exit costs or modify marketing program (partnership with cable company) to achieve increased cable penetration rates.

COMPANY ECONOMICS CASES

Cement Manufacturer Capacity Addition

Question:

You are consulting for the number-one producer of cement in Portugal. This company currently has 45% of the market. You feel it could have more, but is running at 100% capacity of their one plant, located near Lisbon, in Southern Portugal. The CEO has asked you to help him decide if they should build another plant or expand the current plant.

Approach: Explore each element of the revenue-cost equation and find differences if any, between the two options.

This information should be given if asked for:

- Cost structure for cement production:
 - Raw materials: 28%Sales and overhead: 18%
 - Labor and allocated fixed costs: 16%Pre-tax profit: 12%
 - Distribution: 26%
- Price: Company's selling prices are set by prevailing market prices in Portugal.
- Land available for expansion: There is a suitable site near Porto, about 200 miles to the north.
- Location of customers: 80% Of the customers are within 100 miles of the current plant.
- Raw materials supplier: Supplier is a government-owned company; prices are set by a yearly contract with the government.
- Potential for extra shifts in current plant: The plant is unionized, and extra shifts are not possible.
- Distribution: The company owns the trucks, and all products are directly transported to the customers throughout the country. Customers pay for trucking by the mile.
- Fixed costs of adding capacity vs. building: The fixed cost of plant additions is roughly the same as the cost of a new plant of the same capacity.

Solution:

Distribution is the second-largest cost item, so it makes sense to minimize distribution costs in choosing the site of the next facility. From the data, it is safe to assume customers that are further away are less inclined to buy due to the higher trucking costs. Therefore, location of the plant in the north may increase sales in the north by reducing delivery costs to these customers.

COMPANY ECONOMICS CASES

Auto Glass Replacement Company

Question:

Your client is an auto glass replacement manufacturer. Their return on sales (ROS) is low, and they have hired you to help them figure out why. Windows are manufactured in one central factory and distributed via a central distribution center to multiple service centers, which in turn sell to local repair shops. Your client is a service center branch manager.

Approach:

Define Return on sales: $ROS = (Sales - Cost) / Sales = (Net\ Operating\ Profit) / Sales$

This information should be given if asked for:

How client determined that ROS is low: According to cost benchmarking done on all branch service centers, client is ranked in the bottom 25%.

Cost Structure (per unit):

Overhead: 15%	Advertising: 5%
Product: 40%	SG&A: 10%
Labor: 30%	

Labor is the only component that can be changed (product cost, overhead, etc. are set.).

Labor Cost Structure:

Delivery Drivers: 60%	Sales: 15%
Receiving: 10%	Maintenance: 5%
Management: 10%	

Solution:

Labor appears to be the major contributor to cost and in turn to low ROS. Possible factors are inefficient delivery route, distribution truck size (large and slow vs. small and nimble), number of drivers per truck, customer density, route congestion, and product price and mix. Evaluation of these factors will help identify root causes

COMPANY ECONOMICS CASES

Distilled Spirits

Question:

You are consulting for a major US producer of distilled spirits. Their primary products are a line of mid-priced vodkas and two brands of mid-range rum. Over the past few years, the business has become less and less profitable. What could be causing this?

Approach: Explore the revenues-costs equation.

This information should be given if asked for:

- Priced of product lines: Selling prices of the two lines are essentially the same.
- Sales growth: Overall sales are growth is 3% to 5% per year, equal to the industry average.
- Distribution of sales: Consistently 60% vodka and 40% rum over the past few years.
- Production costs change: None, they have remained constant.
- SG&A costs change: None, they have remained constant.
- Distribution costs change: They have increased significantly.
- More about distribution: The products are sold throughout the country. In 27 states, where alcohol is sold in privately managed supermarkets and liquor stores, shelf space is extremely expensive and trade promotions are critical. The stores in these "open states" are also becoming less and less willing to hold inventory, causing distribution costs to increase by requiring more frequent deliveries. In the other 23 states, liquor is only sold through state regulated liquor stores. Distribution costs in these states are much lower, as there are far fewer outlets to service and there are central warehouses for the state-run stores. Also, advertising of alcohol is much more tightly regulated so advertising costs are lower.
- Change in volume share in different markets: A greater and greater share of the volume is sold in the "open" states, with sales in these states increasing at about 10% per year. Sales in the regulated states are decreasing.

Solution:

Because the regulated states are less expensive to serve, and therefore, more profitable, the fact that they represent a shrinking portion of the total has caused total profits to decline.

COMPANY ECONOMICS CASES

Semiconductors

Question:

The domestic semiconductor industry is beleaguered - brutal price competition from the Japanese, accusations of "dumping" against the Japanese etc. Domestic semiconductor manufacturers are clamoring for protection from Washington, and some of the public policy solutions being proposed are things like research consortia sponsored by the government, trade restraints etc. You are a consultant at a major don. You are concerned that the public policy debate ignores basic issues regarding industry economics and whether the solutions being proposed will solve any problems for your clients. You know that each generation of memory lasts only 4 to 5 years. What are some of the factors you will consider while looking at the chips economics and how might they impact the idea of shared research by US manufacturers.

Approach: Examine the cost structure of the industry and whether shared research will change the environment for U.S. manufacturers.

This information should be given if asked for:

- Variable costs: Not drivers, they are negligible.
- Fixed costs: Fixed costs are drivers, they are huge.
- Cost to participate: Very high, ~\$250M in research and ~\$600M in plants.
- Change in costs with succeeding generations of chips: Increase exponentially with each succeeding generation of memory chip.
- Pricing: Cut-rate, volume-oriented pricing, since marginal cost of an additional chip is minimal.
- Capital required surviving for the long-term: Huge amounts of capital on a continuous basis.

Solution:

Since research costs are a smaller component of overall cost than plant cost, shared research may not make a major impact on the semiconductor industry. Economies of scale from consolidation might be a better option but factors such as anti-trust laws must be taken into account.

COMPANY ECONOMICS CASES

Agricultural Equipment Manufacturing

Question:

Your client is a large agricultural equipment manufacturer. Their primary product line, farming tractors, is losing money. What questions would you ask of your client to help them solve their profitability problem?

Approach: Market dynamics, Porters five forces, revenue - cost (PQ - FC + VCQ)

This information should be given if asked for:

- Number of direct competitors: Two direct competitors.
- Market share: Client has 40% of the market, competitor #1 has 30% competitor #2 has 15%, with the remaining 15% belonging to many small manufacturers.
- Market share trends: Five years ago, your client had 60% of the market, competitor #1 had 15%, and competitor #2 had 10%. Your client has lost significant market share to its two main competitors over the last few years.
- Customers: All three competitors sell to the same customers.
- Price: Client's product is priced higher than the others. This has always been the case.
- Features: The products all have the same basic features. However, tractors are not commodity items and a few differences do exist.
- Differences that allow for a premium price: Client has a strong reputation/image of quality in the market and the market has always been willing to pay a premium for that reputation because it implied a longer lasting more reliable product. This is critical for some farmers because they cannot afford to have a piece of equipment break down.
- Change in sales revenues; Revenues are down.
- Change in sales quantities: Quantity is down.
- Change in price: Prices are up.
- Change in costs: Costs are up.
- Change in fixed costs: Fixed costs are unchanged.
- Change in variable costs: Variable costs have increased tremendously. The client does not know why material prices have gone up so staggeringly.
- Type of operation (manufacturing or assembly-only); Primarily an assembly operation.
- Change in finished part prices: Finished part prices have gone up.
- Change in raw material prices for suppliers: Not to client's knowledge.
- Change in supplier labor costs: No change.
- Change in suppliers: No change in suppliers.
- Reason for suppliers charging higher prices for the same products: They're not, the prices have increased as a result of product improvement efforts. Client has tightened tolerances and improved the durability of component parts.
- Reason for product improvements: Client strives to sell the best tractors in the world.
- Customer willingness to pay for product improvements: Client has assumed yes.

Solution:

Prices have been raised to cover the costs of improvements, but customers do not place a high value on the improvements, so the price increase has resulted in a drop in sales. The client needs to incorporate a cost/benefit analysis procedure into its product improvement process. The client should also evaluate their marketing plans to ensure their customers are aware of product improvements and understand their value. Before scaling back their product improvement process, the client needs to evaluate competitor's R&D and product improvement positions.

COMPANY ECONOMICS CASES

Health Care Costs

Question:

You have been appointed Chief of Health Reforms. You discover that kidney dialysis is a major portion of public health care expenditures. How do you determine if this cost can be reduced?

Approach: Apply the revenue-cost framework. Then explore what factors drive prices, volume, fixed costs and variable costs in the health care industry and make suggestions how these cost can be reduced. From the regulator's point of view each one of these is important as they end up paying a very large chunk of the total costs.

- Start by looking at the costs ($\text{Costs} = \text{Fixed} + \text{Variable}$). As kidney dialysis is a procedure, not an industry, it will mostly consist of variable costs, measured in cost per unit.
- Analyze cost per kidney dialysis and number of kidney dialyses in the U.S.
- Keep in mind external factors, such as government regulation or fraud, which play a key role in health care costs.
- Analyze the proportion of public versus private health expenditures applied to kidney treatment to determine whether unscrupulous practitioners are pushing this expensive treatment onto the public health budget.
- Is the incidence of dialysis in the U.S. higher than that of other countries? If so, why?
- Is the incidence of kidney disease higher in the US? If so, can public policy or efforts to increase awareness help reduce it?
- If incidence is higher in the U.S, build a model (regression, perhaps) to determine the factors that are most related to use of kidney dialysis. Perhaps those who are typically covered by public funds (the poor, the elderly) have a higher incidence of kidney problems.
- Is there room for any type of preventative program for these groups?

COMPANY ECONOMICS CASES

Purified Water

Question:

Your client, a corporate cafeteria manager needs to make a decision regarding which purified drinking water option to select. He has three options: individual bottled water, fountain water (larger refill containers), or on-site water purification. What should he consider in his decision-making process?

Approach: Outline your approach as a cost benefit analysis of each option.

This information should be given if asked for:

- Number of customers: Ranges anywhere from 1000 to 3000 patrons per month.
- Water purification system cost: Initial cost of \$14400 and a \$200 monthly service charge.
- Lifetime of a water purifier; The manager estimates it is four years.
- Bottled water cost: Bottle water costs 50 cents per bottle.
- Number of bottles required per day: Varies directly (1-1) with number of patrons.
- Number of dispensing systems required for water fountain option: Two.
- Cost of a refill water container: \$35.
- Frequency of refill replacement: Daily if the restaurant has more than 2,000 patrons per month every other day if fewer than 2,000 patrons per month.
- Results of customer research (if any) to determine customer preferences: customers do not have a preference.

Solution:

From an economic standpoint, the best option will vary with the number of customers. It is necessary to perform a break-even calculation.

- Water purifier: \$200 per month, plus an utmost charge of \$14,400 that you should depreciate over the year lifetime (i.e. $\$14,000/44 \times 12 = \300 pqr month). Total cost is therefore approximately \$500 per month, regardless of the slumber of patrons per month.
- Bottled water: \$0.50 per patron. Bottled water costs equal purifier costs at $\$500/\$0.50 = 1000$ patrons per month. Below 1000, bottled water costs less; above 1000, the purifier is cheaper.
- Drinking fountain: At less than 2,000 patrons per month, the drinking fountains will cost \$35 every other day or $\$35 \times 15 = \525 per month. This is more costly than both the water purifier and the bottled water options; at more than 2,000 patrons, it is even costlier.

Therefore the real economic decision is between bottles and the purifier. Since the number of patrons ranges from 1000 to 3000 per month and the bottled water option if cheaper only if there are fewer than 1000 patrons per month, the water purification system appears to be the better option.

Retail Advertising Pricing*Question:*

You are the new retail advertising manager of a large daily newspaper. This morning you received a call from your boss, the advertising director. He sounded extremely worried about the retail advertising division's performance. Naturally he didn't explain why, assuming that a hotshot like you is by now totally familiar with the status quo! He has to attend a meeting of senior executive convened by the publisher where he will have to defend the advertising department's performance. He also wants to make a big splash by presenting a new strategic pricing methodology' aimed at achieving value-based differentiated pricing.

Approach: Find out corporate profitability objectives and assess the gap between annual departmental performance and original targets.

This information should be given if asked for:

- Change in revenues over the past few years: Revenues have gone up steadily.
- Cost increases over the past few years: Costs have increased, but not significantly.
- Change in pricing: Corporate pressure to improve bottom-line results has led to steep price increases.

A classic demand-curve scenario has led to greatly decreased cumulative ad volume, with potentially serious long-term consequences.

- Examine competitor pricing and customer price sensitivity.
- Discuss heterogeneity in advertising customers based on business size, breadth or product line, price-point etc.
- Understand advertising attributes of importance to different segments (e.g. color, size, frequency, discounting etc.).
- Use difference in needs of customers to implement prices based on appropriate advertising service provided.

COMPANY ECONOMICS CASES

SW Semiconductors

Question:

Your client, SW Semiconductors, is considering adding a new line of semiconductor (type B), which will be used in new cellular phones and PDA'S designed for wireless Internet access. SW currently sells Type A semiconductors to other companies, which then use them to assemble their products. They want you to help them determine whether or not it would be profitable to make the Type B.

Approach: Apply the Revenue-cost equation and compare A and B.

This information should be given if asked for:

- Price SW charges manufacturers per Type A chip: \$0.20
- Price planned to charge manufacturers per Type B chip: \$0.30
- Cost to make a Type A chip: \$0.12
- Cost to make a Type B chip: \$0.15
- Number of manufacturing lines in SW's plant: Three and will not add another.
- Number of chips each line can produce of each type of chip: 5 million Type A chips per line per month. Number should be the same for Type B chips, if converted to Type B production.
- Demand for chips: There is adequate demand for the chips.
- Number of lines SW is willing to convert to Type B production: Only one because they still have significant Type A demand.

SW management requires that the cost of upgrading the manufacturing line be recovered in two years (before the Type B becomes obsolete), and all type B chip revenue beyond the cost per chip will go to covering the upgrade until it is paid off. The upgrade will cost \$500,000, and will take six months to complete. Assume that the line to be converted will not be able to make Type A chips during the conversion process. How long until the cost is covered? Ignore fixed overhead and taxes,

- $\$0.30 - \$0.15 = \$0.15/\text{chip}$ goes to covering the cost.
- SW will lose 30 million Type A chip sales at \$0.08/chip profit, for a total of \$2.4 million in lost profits during the upgrade.
- $(\$0.5 \text{ million for the upgrade itself} + \$2.4 \text{ million lost profits})/(\$0.15/\text{chip}) = 19.3 \text{ million chips}$. Assume 20 million for simplicity.
- At five million chips/ month four months to recover the total cost.

Ignoring taxes and of time value of money, how much benefit will SW derive from the Type B versus the Type A over the next two years?

- Type A unit profit = \$0.08, Type B unit profit = \$0.15.
- SW will be able to sell: 5 million chips/month
- 18 months of production=90 million chips over two years.
- At an increased profit of \$0.07/chip, SW will gross an extra \$6.3 million.
- After the total cost of the upgrade (\$2.9 million), SW will net \$3.4 million, assuming all chips sell and at the projected price.

COMPANY ECONOMICS CASES

Healthcare company Growth

Question:

A large healthcare company has decided it is interested in substantially increasing the size of its operations. Its goal is to double total sales and profits in less than two years. As a consultant brought in to assist them, what would you do? What issues would you consider? What are some likely alternatives for the company?

Approach:

A suitable solution will depend upon the answers to the following questions.

- What is the current scope of operations?
- In what areas of healthcare does the company operate (payor, provider, pharmaceutical company, etc)?
- What is the company's current market share in these areas?
- What plans has the company already considered?
- What is the competitive nature of the industry?
- What would be the effect on sales and profits of reducing prices and margins?
- What potential is there for expansion by acquisition? Do they have the financial capability? Do potential acquisition targets exist? Will the market for acquisitions be competitive?

A business can increase profits by increasing sales, increasing prices, or decreasing costs. However, if the company's margins are found to be consistent with industry norms, it is unlikely that either increasing prices or cutting costs represent feasible strategies for doubling sales and profits, particularly if the company is operating in a moderately competitive environment.

This leaves only sales increases, which can be achieved by:

- Selling more of the current products to current customers
- Selling new products to current customers
- Selling current products to new customers
- Selling new products to new customers

The suitability of these options will again depend on the environment. For example, one possible scenario is that only selling new products to new customers via some form of diversification could achieve the company goals. In this case, you should consider diversification through acquisition or joint venture. The relative benefits of each will depend on financial resources as well as the existence of, and competition for suitable targets.

COMPANY ECONOMICS CASES

Trucking Company

Question:

A local haulage company has been experiencing declining revenues over the last couple of years. They are not sure why so have hired you to help them identify the problem and recommend a solution. You are meeting with the company's Operating Officer for the first time. What information would you want to know from the client in order to assess the situation?

Approach: Do an Industry analysis (Porter's + market size/growth). Then examine the company's revenue and cost structure.

This information should be given if asked for:

- Change in the total market for haulage in this area: An influx of new small businesses in the area has increased the total demand for local haulage.
- New local competitor entry in the last couple of years: None - there are 3 haulage companies in the area that have been here for the last 20 years.
- Large non-local competitor entry into the area: None - the client is focused on the local haulage market. With the increase in small businesses in this area, as mentioned earlier, the haulage market shifted from large industrial to smaller transports. Large non-local haulers operate in the long distance transportation segment which is a different market.
- Competitor's financial position: Competitors have not been experiencing the same difficulties. Their revenues have actually been increasing.
- Customer preferences: Unknown, client hasn't thought about them.
- Effect of shift towards small businesses in this area. Smaller load sizes, more frequent trips, higher value place on quality and personal service: These inferences are correct.
- Price increases: Prices have not increased enough to make up for smaller loads.
- Changes in trucking fleet: None - trucks are old and large, get poor gas mileage and are not well suited to short frequent trips.
- Fleet compared to competitor's: Competitors have upgraded their fleets with smaller gas efficient trucks.
- Sales force: Client doesn't have much of a sales force.
- Competitor's sales forces: Competitors have added dedicated sales people to focus on managing customer accounts.

Solution:

The crux of the problem is that the fleet is old and expensive to operate. In addition, the competition is focusing on meeting changing customer preferences by building strong relationships. The solution is to upgrade the fleet and hire new sales people.

STRATEGY TYPE CASES

Airline Industry

Question:

The airline industry is characterized by low returns and stiff competition. In the early years following deregulation, discount carriers like Peoples Express sprang up. Years later, most of the discounters have gone out of business. In a price-competitive industry, why is it that the higher cost carriers were able to survive and the low cost carriers were not?

Approach: Industry analysis, then examine what the high cost carriers were able to do to overcome an unfavorable industry structure.

These are some of the basic issues to be fleshed out:

- Characteristics of discounters: low fares, limited service.
- Characteristics of major carriers: higher fares but better coverage and service.
- Hub systems channeling traffic.
- Competitive moves by majors.
- Customers & segmentation of customers: leisure traveler cares about price, business traveler cares about service and frequency of flights.
- Innovative use of information technology for yield management and differential pricing.

The higher-cost carriers priced every seat individually based on continuously monitoring of demand & supply. They wooed leisure customers with fares lower than discounts and charged more from business travelers who were indifferent to price but sensitive to service and frequency. They stole the discounters' market and forced them out.

STRATEGY TYPE CASES

French Pizza Market

Question:

Pizza Hut has recently entered the home pizza delivery business in Paris. Spizza Pizza currently dominates the market for home delivery. Pizza Hut has asked your consulting firm to analyze issues that will determine the likelihood of success in the Parisian Pizza market. What information would you need and how would you analyze the pizza delivery market?

Approach: Estimate the market size, do an industry analysis for market attractiveness and segmentation, then examine the cost structure to look for a sustainable competitive advantage.

Information to ask for:

- An estimate of the size of the Parisian home pizza delivery market: This could be obtained by knowing the population of Paris (6 million) and making some educated guesses about factors that determine pizza market size.
- Competitor information on Spizza Pizza: Size of their operations, sales, number of stores, proportion of Paris that they serve, market segments they target and serve, market segments they neglect, products they offer, the consumer prices of their products, the cost structure of their business and their most profitable products.
- The best method of analysis is to start by determining if any part of the market is not well served currently by Spizza. Determine what the needs of any neglected market are, and understand if your client could profitably serve this market.
- Try to understand the likely competitive response of Spizza to your client's entry. How will they defend their position if Spizza decides to fight for market share?
- What about other competitors? What would happen if Domino's Pizza enters the market? Is business still as compelling?
- It would be important to understand the growth rate of the home delivery pizza market.

STRATEGY TYPE CASES

Film Processing

Question:

The CEO of the largest domestic manufacturer of photo film wants to enter the film developing business. He needs your advice on how to go about evaluating this idea. What approach would you take?

Approach: This is an industry entry question - look at industry attractiveness with Porter's forces analysis. Then, think about what part of the marketing mix (4 P's) would be best for film developing. Finally, analyze competitive response.

Additional Information:

- Distribution channels are a key factor in this business. Major discount stores sell the service.
- This is a scale economy business in the back-office, so profits are easier with high volume, which is a barrier to entry.

This company ended up establishing a "store within a store" concept with Wal-Mart.

STRATEGY TYPE CASES

Concrete Manufacturer

Question:

Your client, concrete manufacturer, is considering acquiring a small local firm. What factors should be considered? After considering these factors, would you recommend the acquisition?

Approach: Look at the profitability of the target and look for synergies between the two. A basic economic rule is that a company should only own another company if they create more value together than they would separately.

This information should be given if asked for:

- Target firm profitability: The target firm is currently profitable, with 5% margins.
- Client's margins: 15%
- Reason that client's profit margins are higher than the target firm: Economies of scale in trucking and mixing and a stable labor force.
- Location: Both companies compete in the same geographic market, the Southeastern U.S.
- Client's customers: Large construction firms and contractors, generally in the office and commercial building construction business.
- Target firm's customers: Mainly other small businesses and contractors.
- Expected growth of the concrete market: Smaller customers for concrete are growing while the major office building construction market is stagnant.
- Target firm positioning: The smaller firm has strong contacts with many local customers, and is often the preferred supplier due to their customer responsiveness.
- Funding for the acquisition: The client is not able to fund the acquisition internally, but could obtain bank financing at a rate of 10%. Similar acquisitions generally are made for two to three times current sales of the target firm.

Solution:

From a financial point of view, the acquisition is not attractive if there are no synergies between the firms. With profit margins of only 5%, the income generated by the smaller firm will not cover the capital charges (interest due to the bank) on the acquisition price. (Acquisition price = 3 x sales. Ignoring tax shields, interest on this amount will be 10% x 3 x sales, or 30% of annual sales, while profits are only 5% of sales.) However, if the client were able to use some of its competitive advantages to improve the financial outlook of the target firm, the acquisition might be advisable. It is reasonable to expect that synergies would arise from economies of scale in trucking and mixing, which could raise the profit level of the target firm, and make the acquisition more attractive.

STRATEGY TYPE CASES

Corn Feed Company

Question:

A corn feed company has eight manufacturing plants located in the Midwest. These plants service the entire United States. Their plot in Ohio is in need of refurbishing. The company has four possible options:

- 1. Refurbish the existing plant*
- 2. Build a larger plant at the current location*
- 3. Build a similar size plant at a new location*
- 4. Build a larger plant at a new location*

Which is the best option for this plant?

Approach: There are two issues to this decision. The plant size and the plant location should be considered separately.

Plant size:

First consideration is product demand. Corn feed is a commodity product. Pricing is dependent on current corn prices, not manufacturing. There are four main players in the market and this company is the second largest. All four competitors have similar manufacturing processes and similar cost structures. The proposed plant will not provide new economies of scale. Capacity utilization is 65%, which is the industry standard. Customers buy from all four manufacturers to guarantee supply. Currently demand is being met and there is no alternative use for corn feed.

Plant location:

Transportation cost and perishability are the main location issues. The transportation cost for the corn stock (raw material) is much higher than the cost of transporting the feed. The corn is grown in the Ohio area and the feed is sold to the East Coast. The raw material is perishable whereas the corn feed can be stored for any length of time. Cost analysis of the transportation cost of feed versus raw materials should be completed. Included in this analysis would be the percentage of spoilage for longer transportation of corn stock

STRATEGY TYPE CASES

Cosmetic Company In Europe

Question:

Eurocos, Inc produces and sells various cosmetics products in several European countries. The company's different brands are well established in the markets. The various products are quite similar in terms of raw material and production. The company has been doing very well in the past, however profits have been shrinking in recent years. The CEO of Eurocos, Inc is thinking about changing his strategy in the industry. He asks you if this is a good idea and what they should do?

Approach: When profits are shrinking, you need to look at both revenue streams and costs.

This information should be given if asked for:

- Change in total revenues/sales: None, revenues are unchanged.
- Change in total costs: Total costs have changed.
- Potential to increase sales: No, they are currently meeting or exceeding demand.
- Number of players in the markets: Several small to medium size companies and few big companies owning several brands.
- Scope of distribution: Eurocos produces all of its products in all countries.
- Transportation costs: Transportation costs are small.
- Structure of the industry: Highly fragmented.
- Causes of fragmentation: Low entry barriers (small setup costs), high product differentiation, diverse markets: customer needs (language, complexions, etc), global market barriers include tariffs, customs.
- Economies of scale and learning curves: Yes, Eurocos can create these.
- Potential to standardize market needs: No, different markets demand different products.
- Potential to separate the product's commodity aspect from fragmenting aspect: Yes.
- Changes in EU environment that will reduce fragmentation: Reduction of tariffs.

If it is not possible to increase sales, recommend minimizing costs to improve profits.

- Create EOS in production (better slurring, longer runs, quality) or optimize location (interest rates wages, labor)
- Establish a Learning curve of running a more complex plant and logistics.
- Maintain required level of fragmentation but look for standardization opportunities in supply chain (delayed differentiation).
- Reduce total inventory by pooling safety stock at a central location.
- Challenges include: a more complex central operation, increased logistic complexity, and transportation costs may increase.

STRATEGY TYPE CASES

Permanent Light Bulbs

Question:

A small R&D lab in the Swiss Alps has developed a super-durable filament for light bulbs; with this filament, the light bulb will never burn out. The lab is ready to license this product to a light bulb manufacturer. What will be the effect on the light bulb industry?

Approach: A brief industry analysis and then examines the effect of this "disruptive technology" on the industry.

This information should be given if asked for:

- Competitive landscape of the light bulb industry; two multinational producers dominate the industry. There are a several small local players in various regions of the world who produce local brands and some private store brand light bulbs.
- Difference in the price or distribution channels of the two main players: None, the two companies sell their products side by side for essentially the same price in similar outlets internationally.
- Recent technological innovations in light bulbs: None.

One possible outcome is that one of the two major players purchases the technology. If the technology is patented and exclusively licensed, this player may enjoy an advantage for a limited time. If the producer makes enough bulbs at a low enough cost, all customers will eventually switch over to the permanent light bulb, thereby drying up the industry, putting the competitor out of business and greatly reducing their own business.

Another possibility is that all of the players obtain some version of the technology. If that were to happen, the price for the product would decline to the normal industry profit level, and customers would shift to the permanent light bulb. Over time, all bulbs would be permanent and the industry volume would greatly decrease, making the industry more competitive and wiping Out industry profits.

STRATEGY TYPE CASES

Packaging Material Manufacturer

Question:

Your client is the largest North American producer of a certain kind of bubble-pack packaging material. Currently, the company has 80% of the market, and has asked your firm to assess the strategic outlook for this company. How would you begin to assess the future for this client, and what type of recommendations could you make?

Approach: Industry/product analysis

This information should be given if asked for:

- Product Costs: 20% for polyethylene, a plastic chemical, 35% conversion costs, including allocated fixed costs, labor and energy costs, 10% distribution and storage, and 15% marketing and overhead.
- Gross profit margin: 20%
- Existence of multiple suppliers of polyethylene: Yes, polyethylene is a commodity chemical.
- Age of the factory: 30 years Updates to technology over time: None, the technology is unchanged from when the factory opened.
- Client's market share: The client had 100% of the market until two years ago. Since that time, a localized company has appeared in the Philadelphia/New Jersey market and has captured nearly all of that market.
- Differences between the client and this competitor: Client does not have much information about the competitor, but it appears that their factory is extremely efficient. The factory has purchased technology from a German company. They have also been undercutting your client on price.

Solution:

Industry analysis reveals that this is a commodity product and customers buy based on price. The competitor has used their new technology to produce a lower-priced product. As evidenced in the Philadelphia/New Jersey market, nearly all customers prefer this product. Therefore, the future is bleak for your client, and they should be advised that to respond to the competitive threat, they must find a way to match the competitors prices, that is reduce their costs.

STRATEGY TYPE CASES

Telecommunications Diversification

Question:

A telecommunications company is interested in diversifying into other areas besides telecommunications. They are considering entering the market for electronic home security systems. Would you recommend that they do so?

Approach: Use an industry attractiveness framework, such as Porter's Five Forces, to determine whether this is a business they want to be in, or at least to determine what kind of returns they can expect to achieve. Then, use the value chain to look at where value is added in the home security business. Finally, once you feel you understand the market, determine if the core competencies of the company are likely to match the demands of the home security markets.

This information should be given if asked for:

- Type of a company: The company is a holding company.
- My previously attempts to diversify into other markets: They have previously made unsuccessful forays into software and into real estate.
- Description of the home security business: Highly fragmented with the top five players in the industry generating less than 4% of the total industry revenues.
- Industry largely consists of small, regional companies.
- % of all residences that currently own electronic security systems: 10%.
- Retail price and margin on the product:

Item	Retail Price	Cost / Margin
Equipment and Installation	\$500 - \$1,500	0-10% margin
Monthly Service	\$20 / month	\$5 / month

- Strengths/competencies of the company that is useful in this market: Installation expertise, operator services, transmission system (phone lines).
- Market segmentation: Market is segmented - most systems are purchased for expensive homes and moderate-priced homes.
- Segment purchasing the majority of home security systems: Until recently, the expensive home segment had been the primary purchaser. However, this market segment is saturated and growth has been slow in recent years. The moderate-priced home segment is growing and is relatively untapped.
- Price-sensitivity of moderate-priced homeowners: Price sensitivity is unknown.

Solution:

This business is a reasonably good fit for the company, but that more market research needs to be done to assess the growth and profit potential of each market segment.

STRATEGY TYPE CASES

Overseas Construction

Question:

An overseas construction firm wants to expand by establishing a presence in a growing U.S. regional market. How should it go about doing this? What factors are critical for its success?

Approach: Examine the firm's competitive strengths and how those fit with either building their own capacity, acquiring a company, or forming a joint venture.

- What are the diversifying firm's distinct competitive advantages?
- What is its capacity for funding an acquisition?
- What is the competitive environment like in the proposed region?
- What is the regulatory environment? How does this environment differ from the current markets of the diversifying firm?

Diversification could be effected through joint ventures or through acquisition. Which of these two strategies is the most suitable depends on the availability of funds and upon the nature of the company's operation in the region.

The success of the venture depends not only upon the means of entry, but also on the existence of a distinct sustainable competitive advantage such as:

- Non-unionized labor, which might help support a low cost production strategy.
- Proprietary technology not available to other companies in the region.
- Special expertise in a growth area (such as, for example, hazardous waste).
- Access to distribution channels.
- It is also good to look at whether this is the firm's only opportunity for growth. Perhaps other markets are more attractive.

STRATEGY TYPE CASES

Airplane Manufacturer

Question:

You are consulting to a CEO of an airplane manufacturer. In the last couple of years, your client has gone from being number one in market share to number two. In addition, another company has announced that it will be entering the business and is presently tooling up its plant. What are the concerns your client might face, what additional information might you want to find out, and what recommendations would you have?

Approach: You are concerned with three key items:

1. The condition of the airplane manufacturing industry.
2. Why the firm has lost market share.
3. How to prevent the new entrant from stealing market share.

This information should be given if asked for:

- Expected increase in customer demand: The airplane industry's demand is a function of travel in two customer segments: business and leisure. Business travelers are primarily insensitive to price and are more sensitive to service and frequency of flights, leisure travelers are very price sensitive. Business travel increases as a result of globalization. Leisure travel increases either with an increase in disposable income or a decrease in airline fare prices.
- Price, service, technology, heritage and safety vs. the competition: The competitor's plane is - cheaper to operate because it is more fuel-efficient.
- Firm interest in the manufacture of more fuel-efficient planes: Depends on the future of oil prices. Instead, it may be better to try to compete on the basis of price, safety and service.

Prevention of a new competitor gaining share: by creating barriers to entry, launching long term contracts and addressing high concern on the part of purchasers for a proven safety track record.

STRATEGY TYPE CASES

Chemical Sweetener Manufacturer

Question:

Your client manufactures a chemical sweetener used in beverages and other food products. The chemical will come off patent in one year. You have been asked to predict what might happen to the profitability of this product when the product comes off patent.

Approach: A patent essentially creates a barrier to entry, keeping profits high. You must examine whether something else about this product will allow it to sustain high profits.

This information should be given if asked for:

- **Product differentiation from competitors' products:** This is the only product of its kind in terms of taste and safety (lack of harmful health effects) as proven in lab tests. The brand name of the product has slowly become a common household word.
- **Customers:** 75% of sales come from two worldwide beverage companies.
- **Importance of brand to customers:** The companies feature the brand name of the client's chemical on their product, and consider it a sign of quality.
- **Percentage of customer's costs from the chemical sweetener:** The chemical sweetener represents 1.5% of their total costs.
- **Cost to manufacture:** Manufacturing costs are extremely low, about 20% of product price.
- **Product margins:** Currently, the margins on the chemical are almost 40%.

Solution:

While most products that come off patent quickly drop in price (e.g. pharmaceuticals), this product will be able to retain some of its premium due to the strong brand name. Because the two major customers feature the chemical name on their product, and because the chemical represents a small portion of their total costs, they should be willing to continue to pay the premium into the future. The outlook for the product is good even after the patent expires.

STRATEGY TYPE CASES

Distribution Case

Question:

You have been engaged by a major entertainment company to assist them in building a distribution network for home video. They currently contract their distribution through other, more established, entities but the contracts with those companies are expiring and it is unclear whether the new contracts contain favorable terms or not. There is still a chance that your client will continue to distribute their products through a third party. How would you assess whether to build a distribution network or continue the contracts with the third parties?

Approach: This is a cost/benefit of outsmarting question. The rule of thumb is to outsource a part of the value chain if it is not a core competency and does not create a significant portion of the value.

Questions to ask:

- What are considered the best practices in the industry?
- What are other entertainment companies doing?
- What are the current costs?
- Does the company have the staff and resources to create its own distribution network?
- Of the major entertainment companies that produce video, do most distribute through their own proprietary supply chain or through third parties?
- What is the client's current cost of distribution through its contractual partner(s)?
- Has the client attempted to assess building its own distribution network before retaining us? If so, what were its findings?
- Does the client have a dedicated functional staff assigned to the project? If so what functional areas do they represent?

Through questioning, you've come to decide that staying with a third-party distributor makes the most sense. Now the question is - should the company stay with their current distributor, or choose a new one?

- Who are possible alternative partners? Who uses them?
- Could you characterize the relationship between the client's distribution partner and the client? Is there a possibility of retaliation on the part of the distribution partner if the client severs its ties to this party?
- How many weeks of supply are currently in the distribution partner's pipeline?
- How receptive are the client's accounts to changing distribution partners? Has a value proposition been created to show the client's accounts that a client-owned supply chain would be more efficient, valuable, etc. to the accounts?
- Does the client have any financial interest in the distribution partner that might have to be severed?

STRATEGY TYPE CASES

Merger Candidate in the Chemical Industry

Question:

One major chemical producer has retained your firm to evaluate another major participant in the industry. Both companies are bulk commodity chemical producers. Your firm has been asked to begin work by analyzing the future prospects of the target company's major product line, a bulk chemical used in the production of plastics.

The essential facts are:

- Production of this chemical has slowly declined over the last five years and prices HAVE declined rapidly.
- There are 7 to 8 major producers; the largest producer has a 30 percent share; number two has 20 percent; the target company has 15 percent; the rest is divided among other competitors.
- The two largest competitors earn a small return; the target company is probably at break-even; the rest are operating at break-even or loss.
- The largest competitor has just announced construction plans for a major new plant. How would you structure an analysis of the target company's future prospects in this product line?

Approach: Use a Porter's five forces framework and expand on some of the issues there.

This information should be given if asked for:

- Markets using the chemical and the nature of growth in these markets: End-use markets are largely automotive-related.
- Current overall capacity: Far too much.
- Relative capacity utilization of competitors in the industry: 60 to 70 percent for last 3 years.
- Relative cost positions of competitors: Related to size/efficiency/age of plant; target company has reasonably "good" position.
- Rationality of pricing: Prone to self-destructive cuts to gain temporary share points.
- Niche or value-added uses for chemical: None.
- Major by-product of chemical: Not of significance.
- Frequency of company entry/exit, cost of entry/exit: Entry is expensive, exit is cheap for most because older plants are fully depreciated.
- Importance of this product line to each of the competitors: Most producers are diversified.
- Reason for announced capacity expansion: Bluff to try to get smaller competitors to shut down.
- Importance of regulation: Important. All competitors have installed pollution control equipment.
- Operational improvements that target company could make: Lots of them.
- Product sales and distribution: Economies of scale in marketing and transport are critical.
- Synergy between client and target: Not really any.
-

STRATEGY TYPE CASES

Mysterious Audio Cassette Market

Question:

Your client is the manufacturer of audiocassettes. They have hired you to figure out why they've been experiencing alarmingly poor sales year. They want you to figure out the root of the problem, and what to do about it.

Approach: Ask clarifying questions about the state of the market and then use 4 C's framework.

This information should be given if asked for:

- Current state of the market: Mature.
- Number of major players there in the market: 5 to 6 major players.
- Client's market share: The client used to have a steady 30% market share, second largest in industry. Now, the firm has a 44% share.
- Type of products the client offers: A full range of audio cassettes from low bias to high bias/metal.
- Client's product compared to competitors': Client uses the most sophisticated and quality driven cassette manufacturing techniques.
- Product sales method: Through the company's sales reps.
- Change in the company's sales reps: The firm has been losing sales reps, yet loyal reps claim that sales are at record high levels for them this year.
- Company's target consumers: Firm historically targeted two consumer groups: older, middle-income enthusiasts and high school rock 'n roll stereophiles.
- Change in the client's customer base: Recently the client has been losing younger target market customers.
- Change in the company's retailers: Firm has traditionally managed its relationship with retailers well. However, the firm has recently lost several major accounts due to its inability to move the products.
- Introduction of a substitute product: CDs

Solution:

The combined market characteristics sales decline and increased market share suggest that competitors are abandoning the market likely due to a new and better substitute technology, CDs. Still, your client's historically flat market share suggests brand loyal customers. Moreover, the older target market is loyal - perhaps less likely to switch to the new technology in the short run. Assuming that your client wants to be a provider of the new technology and has the capacity to manage a primary supplier position in its traditional line of business, short-term, target the older customers as well as new segments less likely to switch over to CD's; long-term, consider resource requirements, opportunities and constraints of developing or acquiring the new technology.

STRATEGY TYPE CASES

Video Games

Question:

The CEO of a large diversified entertainment corporation has asked your firm to examine the operations of a subsidiary of his corporation that manufactures video games. Specifically, he needs to know if he should approve a \$200 million capital request for tripling the division's capacity. You are a member of the team assigned to this project. Assume you are at the first team meeting. What are the critical issues you should plan to examine to determine if the industry is an attractive one for continued investment and why?

Approach: Industry analysis, analysis of clients' market position and market outlook.

This information should be given if asked for:

- Division's market share: The division is third largest manufacturer of hardware in the industry with 10 percent market share.
- Market share of the top two producers: Top two producers have 40 and 35 percent market share. Small producers divide the remainder.
- Division's customers: The division sells to a broad range of consumers.
- Division's sales: Division sales have increased rapidly over the past year from a relatively small base. Current estimate is annual sales of 500,000 units.
- Total size of the industry: Current estimate of hardware sales is 5,000,000 units annually.
- Industry growth: Industry growth has been strong but has slowed over the last few months.
- Current sales price of the basic unit: \$45/unit
- Percentage of the parent company's sales the division represents: Less than 20%.
- Factors differentiating the top two competitors from the division: They also develop, manufacture and sell software/games whereas the division sells only licensed software.
- Industry growth of software: It continues to increase.
- Cost of the hardware: Division estimates current cost as \$30 fully loaded.
- Impact of the requested expansion on costs: Requested expansion should reduce the cost by 5 to 7 percent.
- Impact of the requested expansion on production: Requested expansion should triple production of the hardware units.
- Cost advantage for top two competitors: Estimated to have a 10% to 15% cost advantage.
- Costs drivers: Assembly, components, and labor.
- Initial target market: Young families.
- Percentage of market that has already purchased the video game hardware: Greater than 50%.
- Large new user segments identified: None.
- Product distribution: Primary outlets of distribution are top end electronics stores.
- Division profitability: Division currently exceeds corporate return requirements; however, margins have recently been falling.
- Product standards: Hardware standards are established by the industry leaders.
- Frequency of product feature improvements: Product features constantly developed (e.g., new remote joy stick), to appeal to market segments.
- Substitute products: Home computers.

Other questions to ask:

- What is future market potential? What is the continuation of overall industry growth?
- Is the saturation of markets expected?
- Is there a declining "per capita" usage?

STRATEGY TYPE CASES

Video Games (Cont'd)

- What is the competitive outlook? Issue areas might be included: concentration of market shares; control of retail channels; R&D capabilities.
 - What will be the price/volume relationship in the future?
 - What is the capacity expansion is designed to do?
 - What is the cost position of the client division relative to that of other competitors?
 - What is the reason for poor profit performance of division?
-
- There is a relationship between market penetration and growth in new users which, when combined, yields an industry volume estimate.
 - There is a shifting mix of product purchases, in this case from hardware (player unit) to software.
 - Examine buyer behavior in key buyer segments, i.e., "fad" potential of product.
 - Recognize that industry leaders set technology standards. In this situation, the division as a secondary player will have to follow these standards.
 - Recognize that different distribution needs may exist for different products (In this case, hardware versus software).
 - Discuss the effect capacity additions can have on overall industry price/volume relationships and on industry price levels.

STRATEGY TYPE CASES

Scientific Industry

Question:

A manufacturer of scientific instruments is experiencing declining sales in its major product line. Why?

Approach: Industry analysis focused on recent changes that may have affected demand

This information should be given if asked for:

- Description of the instrument and what it does: The instrument, Y, is able to perform elemental mapping. That is, it is able to determine the specific composition of material placed in the chamber for observation, Y is an accessory for a larger and much more expensive instrument, X, that function almost exactly like a microscope.
- Other products the client manufactures: They recently began manufacturing X, and also produce an unrelated product.
- Ability to use and sell instruments separately: X can be used by itself but Y is essentially dependent on X for its operation. As a result, except for replacement sales, Y is rarely sold individually. In fact, X's sales force will frequently recommend that a buyer purchase a certain Y while buying an X. Two years ago, over 30% of client's sales were generated by a manufacturer of X.
- Current %: It is currently around 5%.
- Competition for client's product X, particularly the manufacturer that was selling their Y: It does compete directly with it, and the client introduced the product about 1 1/2 years ago.
- Product comparison with other Y's: Client's product is regarded as one of the best in the market.
- Growth in market for X and Y: Both markets are flat.
- Users of X and Y: There are two basic user groups: industry, primarily semiconductor manufacturers, and academia in research labs.
- Recent changes in the user groups: Client has noticed lately that the specific users in each of these groups, who also happen to be the primary buyers, have become relatively less sophisticated; that is, they are hired just to run the instruments and know less about their technical qualities.
- Change in the buyers' relationship with the sales force: These buyers have become even more dependent on the sales forces.

Solution:

The client alienated itself from other manufacturers of X at a time when a strong relationship was becoming even more important than it used to be. The buyers are relying more and more on the X sales force, which is typically called well in advance of the Y sales force.

STRATEGY TYPE CASES

Chilled Beverages

Question:

You are consulting to the manager of a division of a large consumer products company. Her division produces fruit juices in three forms, all marketed under the same name: chilled (usually, found in the milk section of the supermarket), juice boxes, and frozen concentrate. This division has sales of \$600 million per year. The entire company has yearly sales of over \$20 billion. The chilled segment represents \$120 million in sales per year. While juice boxes and frozen concentrate are profitable, chilled juices are only breaking even in good quarters and losing money in bad quarters. She has received a proposal from upper management to sell the chilled juices business. What would you advise that she do?

This information should be given if asked for:

- Chilled beverage market size: \$5 billion nationwide.
- Number of players in the market: Two large players with 40% and 25% of the market.
- Client's market share: 12% market share, the third biggest player in the industry.
- Profitability of two market leaders: Yes, they are profitable.
- Differences between client's spending and that of the two market leaders: Market leaders fund more advertising and promotion than client.
- Product differentiation: Market leaders produce pure orange juice and blends that are based on citrus juices. Client's product uses more elaborate blends of juices, usually a base of pear or peach juice (95% of the inputs) flavored with cranberries, bananas, mangoes, etc. (the other 5% of the inputs). Pear and peach juice are about the same price as orange juice, but the other flavorings cost about twice as much.
- Target market for chilled juices: Mothers with school age children.
- Purchase drivers for this market segment: This is a highly price sensitive segment that loves coupons, promotions, etc.
- Factors important to this market segment in addition to price: Brand name is important in this market; similar to juice boxes and frozen concentrate, since mothers tend to prefer highly reliable products for their children. However, the brand premium must be in line with other branded products. Therefore, all branded juices tend to sell in the same price range.
- Production location and alternative use for manufacturing plant, if product line sold: One plant in California produces the entire product range, chilled, juice boxes and frozen. It would be difficult to find another use for the plant without a major conversion.

Solution:

There are two potential options:

- Sell the chilled juice business. This would, however, affect the juice and frozen concentrate businesses, as there are both advertising and manufacturing synergies.
- Keep the chilled juice business and rework the ingredients and costs. This appears to be the most feasible option, as evidenced by the success of the competitors

STRATEGY TYPE CASES

Consulting Firm Strategy

Question:

You are the newest member on the management committee of a well-known top tier strategy management consulting firm. Eager to be accepted by your more senior peers, you volunteer to study the industry and propose a firm strategy, which you will present to the committee at its next meeting. As you leave the meeting you begin to realize the enormous task to which you've committed yourself. Questions you will need to answer include:

- 1. How do you evaluate the consulting environment and determine likely future scenarios?*
- 2. What information do you use in this process? How is this information obtained?*
- 3. What do you believe is most likely to happen in the consulting industry given your present knowledge? How did you arrive at this conclusion?*
- 4. What strategy do you propose to the management committee?*

Approach: This is one of the most difficult types of cases because the answers are completely unknown and will vary substantially depending upon the your knowledge of the industry. This is also an interesting case since it is highly salient. When information isn't available, develop your own hypotheses. What matters here is the thinking process, not necessarily the answer.

Approach to Question 1: A good place to begin is to evaluate the industry from a competitive analysis perspective, such as Porter's five forces. The following is an abbreviated analysis.

Rivalry (low to moderate): Management consulting is fragmented, with many players each holding a relatively small concentration of the total market. Firms act as competitive monopolists, and differentiate themselves by specialty, type of customer (Fortune 100 versus Fortune 1000 companies), reputation (McKinsey versus accounting firms), and the resources they employ (top MBAs versus all MBAs). Many companies are relationship driven with their customers, which limits competition and keeps prices high. Top tier firms in particular are able to have high price points.

Potential Entry (moderate): There are no great barriers to entry into consulting; however, few new consulting firms truly compete in the top tier. It's possible that new firms would enter if the firms in the industry were earning positive economic profits and if they were imitable (i.e. new firms could recreate what the top tier firms do).

Substitutes (moderate): Companies can move the consulting process in-house by hiring former consultants and bright MBAs. This occurrence is more likely during tight economic periods.

Buyer Bargaining Power (moderate-high): In the last couple of years, the consulting market has suffered, with supply exceeding demand, which should have increased buyer power and driven prices down.

Supplier Bargaining Power (low-moderate): Major suppliers are the intellectual capital employed by the firm (e.g. experienced consultants who bring in sales and new consultants who provide analytic abilities). Must pay market price or risk losing suppliers, but current economic conditions have caused a reduction in supplier power, due to decreased demand from consulting companies and fewer options outside of consulting.

STRATEGY TYPE CASES

Consulting Firm Strategy (Cont'd)

Other interesting points might explore the key success factors in the consulting industry. What differentiates top tier firms from middle ones? Do any firms have specific sustainable competitive advantages? How does the marketing mix differ among firms? Does your firm have any specific core competencies or advantages that set it apart from other companies?

Determining likely future scenarios is more ambiguous. There are at least several key points: how soon and to what degree will demand for consulting services bounce back? Will top tier firms be affected differently than others? How has the mix of products demanded changed and what will it be after the economy recovers (e.g. cost-cutting studies vs. market expansion studies)? Will the consulting market expand evenly or will certain geographical areas expand (Pacific Rim, Eastern Europe) faster than others? Again, the thought process is more important here than actual answers.

Approach to Question 2: Information gathering is a key reason companies use consultants. You should have a decent knowledge of business information sources and how to gather information.

Information can be broken into two groups: secondary and primary. Usually one begins with secondary material, specifically, a complete review of published literature (a "lit search") pertaining to the study (e.g. journal and newspaper articles, investment bank research, specialized studies, books, etc.). This often points toward other good sources (e.g. industry experts, associations, major competitor's, government sources, etc.). Hypotheses are often created from the secondary information. Primary research is then used to focus in on the key issues. This research includes telephone interviews, in-person interviews, mailed questionnaires, focus groups, laboratory experiments, etc.

Approach to Question 3: This answer will depend upon the material covered in the first two. Ask the questions: What trends are likely? What is a positive scenario? A negative one? If you had any information at your disposal, how could you get a better handle on this issue?

Approach to Question 4: There is no right answer here. However, you can provide some structure. What are the key factors for success in the industry? Is there any way to achieve sustainable advantage (cannot be duplicated by competitors)? Can non-traditional methods be used to achieve competitive advantage, such as leveraging through technology? Given your firm's competitive strengths and core competencies, what is the best strategic route?

STRATEGY TYPE CASES

Deli Meat Producer

Question:

You have been hired by a producer of deli meats to investigate the cause of its recent decline in market share. The client would like an action plan for resolving the problem.

Approach: A 3 Cs 4P's framework is useful here.

This information should be given if asked for:

- Product: The firm produces plastic-wrapped packages of sliced deli meats.
- Price: The firm produces products at all price points (generic, midrange, and premium).
- Category differences in market share loss: Share loss is primarily in the premium category.
- Premium product brand compared to competitors': Client's deli meats carry a well-known brand label.
- Category pricing: Premium category products priced higher and have slightly higher margins.
- Feasibility of price decreases: Price decreases would garner market share, but competitors have maintained prices during the recent loss in market share.
- Sales channels: The product is sold in grocery stores and delis.
- Recent changes in product placement or incentives that could account for the decrease in market share; A company investigation has shown that grocers have maintained the same amount of shelf facings and space for the product - so decrease in share was not caused by changes in display or incentives provided to the grocers by competitors.
- Changes in the company's or the competitors' advertising or marketing efforts: None, advertising and marketing efforts have been steady and there has been no noticeable change in the competition's efforts.
- Number of competitors in this market: There are three other competitors in the deli meat industry. The competitors have about 20% market share each; client has 40% market share.
- Market growth: Overall the market (generic, midrange and premium) is growing.
- Distribution channels used by the competition: Competition use the same channels as client.
- Change in the customers who purchase the premium deli meats: None.
- Change in product quality: Well, a recent survey of the customers indicated variability in the quality of the product produced by the client. Sometimes the product was better than the competition; sometimes not. This was causing customers to change to the competition.
- Production process changes that could impact quality: The client receives chunk meat in bins which meet a certain average quality measurement. Meat is rated on a scale of 1 to 100 (100 being best). The client is in a long-term contract with a supplier for bins at three quality ratings: 40, 70, and 90. Individual chunks within a bin may vary from this average. The premium deli meats are made from a mix of the three bins with the majority coming from the 90-rated bin. Meat in the go-rated bin ranges from 80-95 while meat in the 70-rated bin ranges from 55-80. The variability in the quality of the premium product is being driven by the variability within a 90-rated bin.

To reduce variability, the client could negotiate with the supplier to narrow the range within a bin or sort the meat within the 90-rated bin at his own facility. The impact of the first proposal will depend on the relationship with the supplier. That is, is the client a major buyer; how much longer is the contract set to run? The second option will add cost to the production process and reduce margins.

STRATEGY TYPE CASES

Information Services Company

Question:

You have been hired by a library information services company that provides a computerized article search product on CD-ROM. The product allows users in a library to locate articles by keyword search. The company currently has a weak market share of only 10% of all installed units. The company wants to understand why they have such a small market share, what could be done to improve the situation, and where it should focus its resources.

Approach: Comparison of the company's product, customer needs and how it stacks up against the competition in production, marketing etc.

This information should be given if asked for:

- Number of competitors in the market: One major competitor and two small competitors.
- Competitors' market shares: Major competitor has 50% market share. The client and two other competitors each have 10%; and the remainder is divided among many competitors.
- Market segmented and client's market share within each segment relative to the major competitor: (see table below)
- Competitive features of these products and importance to each segment: Competition focuses on four dimensions: search quality, content, ease of use, and price. (see table)

Type of Library	# Libraries	Client Market Share	Major Competitor Market Share	Competitive Features
Academic	5,000	20%	60%	Search Quality, Content
Research	500	80%	10%	Search Quality, Content
Other	4,500	13%	66%	Content, Ease of Use
Public	10,000	10%	40%	Content, Ease of Use
Secondary Schools	20,000	~0%	10%	Price, Ease of Use

- Product: The client sells a CD-ROM based product which is used on a dedicated PC in a library. The product has different versions that are upgraded each year. Each version is marketed to a specific library segment. Libraries are interested in matching the article search to hardboard volumes available within the library.
- Product quality compared to competitors': Considered to have the highest quality of article search.
- Pricing compared to competitors': Client sells its product at a 25% discount to the major competitor and has the lowest prices in the industry. The pricing and profit schedule for each version are shown below.

Library	Client Price	Client Profit per Unit	Major Competitor Price
Academic	\$2,000	>\$500	\$2,667
Public	\$1,500	\$500	\$2,000
Secondary School	\$1,000	\$100	\$1,333

STRATEGY TYPE CASES

Information Services Company (Cont'd)

- Trade off between different competitive features: There is a trade-off between ease of use and search quality. A better search requires a more skilled approach to keyword usage and often makes the search more difficult. The client's product is considered to have the highest quality search among the competitors.
- Product production process: The product is created by programmers who seek to match the product to library volumes. Since the principal input is labor, the type of CD-ROM created can be altered relatively easily.

Solution:

The client's product does not match the needs of large segments of the market, which has led to weak market share (client's high quality search only appeals to a small segment of total market). The client should reallocate its resources to create products in the larger market segments: products that emphasize content and ease of use over search quality.

The most profitable segment can be identified by using current client prices, which should allow it to gain market share (due to the 25% discount to the major competitor) and calculating the maximum market profit. Academic = $5,000 \times \$500 = \2.5M ; Public = $10,000 \times \$500 = \5.0M ; Secondary = $20,000 \times \$100 = \2.0M . Therefore, if a realigned product to emphasizing ease of use and content has a potential profit of $4,500 \times \$500 + 10,000 \times \$500 = 7.25\text{M}$ (minimum since profit in academic segment is $> \$500$ per unit).

STRATEGY TYPE CASES

International Consulting Firm

Question:

You are the managing director in a large international consulting firm. Traditional strengths of your firm have been solving strategy and organizational issues. Recently, you have noticed an increasing number of your firm's proposals are being rejected because of a lack of information technology expertise in your firm. So far, your firm's growth has been strong enough that proposals lost have not hurt annual earnings. Nonetheless, you are becoming increasingly concerned about the need to develop the firm's capabilities in information technology. You are asked to consider the following questions:

- 1) Assuming your concern is valid, what reasons will you provide to other partners about the need to acquire information technology skills?
- 2) Assuming you are able to convince other partners of the importance of IT expertise, what steps would you take to rapidly build IT capacity in this area?
- 3) What are the major risks in executing an IT capacity-expansion?

Approach:

What reasons will you provide to other partners about the need to acquire IT skills?

- Value of IT to clients: Discussion topics include the increasing importance of information in business, strategic value of information and information flows, importance of information systems for implementing new organizational structures and management control systems.
- Cost of losing clients to competitors: Encroachment costs of having clients working with competitors on IT problems, risk of losing credibility by not being able to solve a problem.

What steps would you take to rapidly build IT capacity in this area? Discuss the pros and cons of each method proposed: impact on firm culture, cost, time needed to build expertise, etc.

- Various methods to build expertise: Buying expertise by acquiring another firm by raiding IT practices of other firms for a few key consultants, building capacity through recruitment of IT experts and training them to be consultants, building capacity by training current consultants in IT practice skills, establishing a strategic alliance with a IT boutique firm.
- Stimulate client demand as capacity builds through seminars, articles strategic studies in IT.

What are the major risks in executing an IT capacity-expansion?

- Depends on the expansion methods discussed, but an important issue is the loss of the firm's focus away from just strategy and organization.
- The difficulty of implementation; rapid technological changes industry require significant ongoing training and development costs; new practice cultures may be significantly different from current culture, especially if "external experts" are brought into the organization.

STRATEGY TYPE CASES

Pipeline Company

Question:

You have been hired by a large pipeline company to evaluate the current and future potential of the pipeline industry. The pipeline industry sprang up as transportation costs for mineral extraction companies began to escalate. There are currently 20,000 miles of pipeline throughout the U.S. What information do you want to know about the pipeline industry that could help you plot a strategy for a pipeline company?

This information should be given if asked for:

- Industry structure: There are many pipeline competitors.
- Segmentation of pipeline market: Pipeline can be characterized as either common carrier pipelines (~70% of all pipeline miles) which are regulated by the government and proprietary pipelines (~30% of all pipeline miles) which are wholly located on the private property of a firm. Proprietary pipelines are not regulated by the government.
- Difference in the number of suppliers of common carrier vs. proprietary pipelines: There are many suppliers of common carrier pipelines.
- Differences in the pipeline products: Pipelines carry liquid and gaseous materials such as crude oil, natural gas, methane gas, liquid nitrogen, refined oil products and chemicals.
- Cost structure of pipeline products: Exceptionally high fixed costs. Variable costs are primarily the electricity to power pumping stations along the pipeline.
- Cost structure differences between types of pipeline: Different cost structures depending on the type of product being moved. Pumping crude oil along the pipeline can cost as much as \$2M/month in electricity for a station. Gaseous products require less energy to move.
- Market conditions: U.S. proven reserves are diminishing and foreign imports are increasing.
- Demand: It is expected that for the next 5-10 years demand will be steady.
- Difference in margins for different products: Margins on gaseous products are higher than heavy unrefined products.
- Effect of government regulation on margins: Margins are greatly affected by common carrier status. Any future environmental regulations will cut even deeper into margins.
- Use of pipeline as a storage medium: For many firms the product in a pipeline can be a significant portion of its inventory and the volume in line must be considered in production.
- A large pipeline could be a temporary storage facility.
- Impact of operations on profits: To maximize profit one needs to understand the parameters of pumping -- costs of pumping at less than full capacity, layout of pipeline and pumping stations, products which can share the same pipeline, construction of parallel pipelines.
- Market differences for the different products: The market for crude oil is very different than the market for specialty chemicals or natural gas. The pipeline manager must be aware of these rapidly changing commodity markets to maximize his profit.
- Better to make product and sell it now at low prices or wait for prices to increase: ??

STRATEGY TYPE CASES

Pipeline Company (Cont'd)

Classic Porter analysis can be used:

- Threat of Entry is low because there are high fixed costs (high initial investment) and pipeline services are essentially a commodity product (commodity markets are slow growth and unattractive).
- Industry Rivalry is strong because there are many competitors and switching costs are low, industry growth is expected to be slow (i.e. market share is important), many competitors use pipeline for in-house uses and only carry other products if capacity is underutilized there are very high exit barriers (i.e. there is a strategic relationship between refining and piping).
- Substitute Products are many as witnessed by proliferation of tanker cars and tractor trailer rigs for liquid and gaseous materials
- Power of Suppliers is not a significant factor.
- Power of Buyers is not a significant factor because many pipelines are regulated and there are many buyers

STRATEGY TYPE CASES

Satellite Company

Question:

A large conglomerate has bought a satellite and has the option of keeping it or selling it today for a profit. The company has hired you to help if figure out what to do.

This information should be given if asked for:

- Cost of satellite acquisition: \$1 million
- Market value of satellite today: \$10 million
- Condition of the satellite: The satellite is in fine working condition.
- Launch status of satellite: Satellite is still in the box and needs to be launched if company decides to keep.
- Costs associated with launching the satellite: Total Launch costs are \$5 million for high orbit launch and \$1 million for low orbit launch.
- Price of satellites available in the market: There are satellites available for purchase at \$2 million each.
- Potential to lease satellite capacity: Leasing satellite capacity is a good option but not available in this case.
- Difference between low orbit and high orbit satellite communication abilities: Low orbit satellites are used to transmit data between two points where the distance between them is on the order of 3000 to 5000 miles (for example from one coast to another). These satellites are primarily used by corporations to transmit data in batches. Low orbit signal is subject to high interference, thus it is not used when continuous transmission quality is critical. High orbit satellites are primarily used for continuous transmission (i.e. in real time) where signal quality is critical. Live global television broadcasting is the primary application. High orbit satellite transmission requires a series of satellites capable of passing a signal around the globe. A single satellite will not work for this application.
- Potential customers for satellite services: There are two customer segments based on use: data transmission and voice/video transmission. Large corporations use satellites to batch transfer information periodically during the day. The use is short and intermittent allowing for multiple clients. News, broadcasters and telecommunications companies use the satellites for voice/ video transmission. They require 24 hour, global satellite coverage limiting the satellite to only 1 client.

Compare estimated profits associated with the three options.

- Option #1 - sell today. \$9 million dollar pre tax profit.
- Option #2 - Operate single satellite offering data transmission service to multiple clients. Use NPV analysis to determine PV of future cash flows
- Option #3 - Operate multiple satellite system to offer voice and video transmission. Requires increased upfront investment to buy and launch more satellites. Use NPV analysis to determine PV of future cash flows accounting for large initial capital expenditure. Verify that company has or can borrow the capital required for purchase and launch.

Note: As no numbers are available in this case to compute the NPV for options 2 and 3, interviewee should only describe the methodology used to calculate NPV.

STRATEGY TYPE CASES

A Powerful Case

Question:

You're a utilities company in a small town and you're having trouble getting your customers to pay on time. What do you do?

First of all, you'll need to know what kind of company you are. Electric? Gas? Phone? Could it be that you are based in a small, rural area where customers turn to their wood-burning stoves for heat and cooking power instead of gas? Have your customers adopted cell phones en masse and are now neglecting their regular phone bills? You won't know until you pin down the problem - and then you can determine a solution for the company's woes.

Framework:

Clarifying questions:

Understand market dynamics

Segment customer base

Look at ways to manage accounts receivable

Some questions you should ask:

- Where are we based?
- What is the composition of our customer base?
- What percentage of our customers is not paying on time?
- How much money do we lose from slow payers?
- How many of those slow payers never pay?
- Is there a certain segment of the population that is not paying?
- Is the area in a recession or slump that affects the ability of customers to pay their bills?
- How late are the payments of the slow payers? What is the impact on your accounts receivable?
- What do we currently do to motivate slow payers to pay their bills?
- Are there any government or state regulations that will affect our actions?
- At what point do we currently cut off slow payers? (Perhaps the company is slow to do so, and therefore customers are taking advantage of the company. Or, if the town is small enough, it's possible that there are employees who refuse to cut off power to their friends and family.)
- Can you require credit card payments?
- Can you use a collection agency?

After you've determined the nature of the problem, you can make a recommendation on how to solve it. You may have more than one problem. Perhaps your small town is home to a university and students move frequently and often neglect their last utilities bills. (Can you work out an arrangement with the university that denies diplomas or registration to students that neglect their bills? Should you start asking for second and third addresses and contact numbers? Perhaps requiring a deposit from students to turn on power?) At the same time, your company may need to start charging higher late fees to other customers who are simply taking advantage of the six months of forgiveness your utility gives.

STRATEGY TYPE CASES

Aluminum Industry

Question:

Your client is a leading manufacturer in the Aluminum industry. Because Aluminum is a commodity, relative cost position is the primary source of competitive advantage, and as part of a strategic review you have been asked to construct an industry cost curve (cost/kg of aluminum produced vs. industry supply), for various plant-to-market combinations. There are five major players in the industry, supplying six major geographic market segments. Your model should be flexible enough to enable various future scenarios to be run.

Approach:

There are many different approaches to solving this case. You need to evaluate each of the following:

- How to estimate competitors cost management. Use financial accounts, direct estimates by client management, or indirect estimates by client management.
- How to simulate the market mechanism. Determine what kind of market structure exists, oligopoly or perfect competition.
- Given perfect competition, how to simulate. Use back of the envelope or linear programming approach.

The use of linear programming allows considerable flexibility as well as provides insight into questions such as: is the industry currently efficiently configured, if a new plant is added to the industry, which market segment is most likely to be affected and what will the equilibrium price be in the future?

STRATEGY TYPE CASES

Automobile Industry

Question:

Your client, one of the big three automakers in Australia has over the last few years under-performed its competitors as measured by its profitability. All three companies' current car models are "badged" Japanese designed cars, i.e. they are products of joint ventures with one of the smaller Japanese automakers. These cars are then sold both in Japan and Australia, the only difference being the place of manufacture and the model names (i.e. badges). The Japanese market is much bigger than the Australian market. You have been asked to establish why your client has performed poorly relative to the competition.

Approach:

Explore possible reasons for under-performance

- Dissimilar product for under-performance? (No)
- Different market segments? (No)
- Poor sales/ distribution? (No)
- Inferior product? (No)
- High general expenses (admin, marketing...)? (No)
- High cost of production? (Yes)

Given that the reason is the high cost of production, establish sources of high costs relative to the other auto makers, using management accounts, published financial accounts, data from your American holding company or reverse engineering.

Determine what makes up cost, and the relative importance:

- Labor costs? (Not important component. Average with industry)
- Raw materials? (Not important component. Average with industry)
- Manufacturing overheads? (Not an important component. Average with industry)
- Design? (Design costs are by far the most important component of costs)

Explore the relevance of the Japanese connection:

- Are the terms of our joint venture different from competitors? (It turns out that the terms are all similar.)
- What are the terms of the joint venture? (Share of design costs pro-rated between the parties based on number of cars sold respectively)
- Does our car cost more to design than our competitors? (No)

Your client sells a similar product, in similar amounts, to similar markets in Australia. Similar design costs (in absolute costs) were incurred by your Japanese partner. The key lies in your discovery that design costs are pro-rated, and a line in the description of the problem that mentioned that your client's partner is one of the smaller auto manufacturers in the huge Japanese market. Thus the design cost defrayed by the Japanese partner's sales in Japan is relatively small, and your client's share thus is significantly larger.

STRATEGY TYPE CASES

Insurance Company

Question:

An insurance company pays its sales people a base salary of monthly wages and commission of 25% of new policy sales (2% of renewal). Which is the right way to pay the sales agents?

Approach:

This is an organizational behavior scenario. You must define what the "best way is".

- Assume some generic definition like "the manner by which agents are both motivated and equipped to accomplish their tasks in the interests of the organization..." is applicable.
- Having set up a definition for the best method review the means to achieve this.
- The only factor determining how much the agents paid is their sales \$.
- They are motivated to issue a policy to anyone at as high a price as possible. They are not motivated to give consideration to the riskiness of the insured party.
- The absence of such a consideration would be detrimental to the company in the long run.

A more efficient compensation structure might pay the agent on a sliding scale, depending on how risky (costly) an insured party proves to be.

STRATEGY TYPE CASES

Local Banking Demand

Question:

How would you determine whether a location in New York City holds enough banking demand to warrant opening a branch?

Approach:

Because this is a demand-oriented question, consider a marketing framework, such as the 4 P's.

- The demographics of the area surrounding the prospective branch should be examined.
- Population, business concentration, income levels, etc. should be compared with those of historically successful branches.
- Competitor reactions could easily make this venture unprofitable, so it is essential to anticipate them. These will depend on the importance of the area to competitors (in terms of profit, share, etc.)
- The client will have to match competitors' incentives to customers and should estimate the cost of doing so.
- The client must examine if the new branch would complement their existing competence and strategy (retail or commercial, high growth or high profitability, etc.) and what purpose it would serve.
- If the need focuses on deposits and withdrawals only, maybe a cash machine would suffice.

STRATEGY TYPE CASES

Regional Grocery Store Chain

Question:

A regional chain of grocery stores currently receives its stock on a decentralized basis, i.e. each store deals directly with the various suppliers. The president of the chain is wondering whether it would be better if they established a centralized warehouse through which all supplies would be delivered and then disbursed by company trucks. What are the key considerations to making this decision?

Approach:

- Would the savings from bulk purchasing more than compensate for the cost of building and maintaining the warehouse, employing additional personnel and trucks and the opportunity cost of capital tied up in inventory for additional periods
- Do the stores buy similar products? (i.e. do purchasing synergies actually exist?)
- Will delivery frequency to the stores be better or worse? Consider the costs of stockout and the need for fresh produce.
- Will the stores prefer delivery direct from the supplier or from the warehouse? Consider the time tied up in order processing, the flexibility of delivery times and quantities.

The proposed solution would depend upon your interpretation of the trade-offs both financially and organizationally for the two methods of delivery. For you to propose going with the new method, you need to establish not only that it will cost less, but also that all the affected players can be persuaded to buy into it.

STRATEGY TYPE CASES

Shipping Container Manufacturer

Question:

Your client is a manufacturer of large steel shipping containers that are designed to hold up to several tons of material for shipping on ocean liners. The container consists of a steel frame, a steel shell and an insulation and waterproofing material that uses a hazardous chemical. The containers are leased by the company to worldwide shipping companies. Shippers can lease the containers one-way or round-trip. The client has asked you to do an assessment of their strategy. What issues might you examine?

Approach:

- Sales and cost issues: The growth of the shipping container market; your client's share in that market; trends in the leasing terms in the industry; customer power; steel prices; manufacturing costs.
- Market issues: Changes in the worldwide shipping market (e.g. does the growth of an area like Southeast Asia imply many more one-way contracts than round-trip?); growth of the largest customer industries; new technology in shipping containers; customs and trade agreement trends.
- Environmental issues: Production and disposal of the insulation chemicals; costs of handling the chemicals.

STRATEGY TYPE CASES

The Startup

Question:

You have inherited a start-up software company. How do you estimate market size? On which fronts do you anticipate problems?

Approach:

- How would you evaluate the sincerity, honesty, and integrity of the owner of the business? Do others that they deal with (employees, suppliers, customers) value them as partners or are there character issues?
- Are there any legal actions pending against the business?
- Does the mission of the start-up make sense? Is their business concept sound?
- What is the timeline/progress of development, coding, testing, and production as originally conceived in the business plan? Does it make sense?
- What is the previous track record of each of the principals of the startup?
- What is the plan for producing the product when the code is ready? Is outsmarting stamping, packaging, and shipping an option? Is capacity an issue?
- What is the makeup of the initial seed capital to start the business? Personal assets, small business loan, venture capital funds?
- What is the debt structure like if it exists? Interest rates, due dates, rollover ability, secured assets, etc.?
- Have any patents been applied for? What is their status?
- What has been done to protect the intellectual capital/property associated with the software design?
- Describe the market space the business occupies. Why did the business come into inception?
- What defines dominance in this market? Cost? Economies of scale? Speed to market? Relationships with customers? Where does this business fall against the aforementioned metrics?
- Is the market for this type of product saturated? Is there a particular unfulfilled segment where this product fits or will it be competing against other already established products?
- What is the advertising and promotional activity planned for this product?